

1 The Trilogy of One: The Keystone Playbook for the Renaissance Agenda
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Policy Disclaimers

Disclaimer of Origin: This document reflects the distilled policy insights of a dedicated Pennsylvania constituent, informed by years of focused cannabis advocacy and public policy experience. It is presented independently and does not represent the position or product of any professional lobbying entity or institutional think tank.

Note to Legislator:

This document is the operational and tactical sequel to the foundational trilogies you already possess. The previous work provided the "what" and the "why"—the philosophical framework, the data-driven case, and the fully drafted "turn-key" legislation.

This playbook provides the "how."

It is an actionable guide for the legislative and administrative battle ahead. It is designed to serve as a comprehensive strategy memo, moving from blueprint to action. It details:

- The "Legislative War Room" strategy for navigating committees and building the necessary coalitions.
- A plan for neutralizing opposition and defeating specific "poison pill" amendments.
- The blueprint for architecting the administrative agency to resist capture and ensure principled implementation.

This is the operational manual to ensure the Pennsylvania Renaissance Agenda becomes a governing reality.

Respectfully,
Daniel Hughes
Constituent, 29th Senatorial District (Argall)

Recommendations for Strategic Deployment

To maximize the impact of this portfolio, a legislative caucus should deploy its components in a targeted and strategic manner:

- **Internal Caucus Education:** The playbook, *The Trilogy of One*, should be used for internal caucus briefings to build consensus and enforce message discipline. The "Constitutional Consistency Bridge" argument, linking cannabis non-cooperation to Second Amendment Preservation Acts, is a particularly powerful tool for winning over skeptical conservative members by forcing a debate on the core principle of federalism.
- **Public Persuasion and Media:** The data-rich and accessible arguments presented in *Second Trilogy* are ideal for public-facing communications. The caucus should develop fact sheets, op-eds, and social media content based on its key findings. The reframed arguments—presenting legalization as a "smart on crime" policy that helps police solve burglaries and as the only responsible solution to the ongoing Delta-8 public health crisis—are especially potent for shaping the public narrative.
- **Legislative Negotiation:** The draft legislation, SB420, should be presented as the non-negotiable "principled blueprint" during all committee and leadership negotiations. The "poison pill" defense guide within *The Trilogy of One* should be used as a rapid-response manual to immediately identify, define, and defeat damaging amendments that would compromise the free-market integrity of the bill.
- **High-Level Rhetoric and Vision:** The philosophical frameworks from *The Architecture of Character* and *the Christmas Package* should be used to craft major floor speeches and public addresses. This will allow leaders to elevate the debate beyond a simple policy change, framing the agenda as a fundamental reaffirmation of Pennsylvania's founding principles of liberty, self-governance, and trust in its citizens.

Introduction: From Blueprint to Action

This document serves as the operational sequel to the foundational trilogy of papers—*The Keystone Mandate*, *After Prohibition: A Treatise*

on Liberty, Markets, and the Future of Cannabis, and *The Keystone of Liberty*. That body of work established the comprehensive intellectual and evidentiary case for a broad, free-market reform agenda in the Commonwealth of Pennsylvania. It articulated the philosophical underpinnings, the constitutional authority, and the data-driven imperatives for a renewed commitment to the principles of federalism, economic liberty, and good governance. This playbook transitions that established framework from a compelling argument into an actionable legislative and administrative strategy. It is designed not to re-litigate the *why*, but to provide an exhaustive and practical guide to the *how*.

The strategic imperative for this action is clear and urgent. The current policy landscape in Pennsylvania represents not a neutral or conservative status quo, but an active and costly choice. It is a choice to forfeit billions of dollars in tax revenue to neighboring states, to misallocate critical public safety resources in the pursuit of a failed prohibitionist policy, and to perpetuate a documented public health crisis among our children by ceding the market for intoxicating cannabinoids to unregulated and illicit actors. Inaction is a policy of managed decline. This playbook provides the tactical means to reverse these demonstrable governmental failures and to position the Commonwealth as a national leader in principled, pro-growth governance.

This report is structured to guide legislators and their allies through the entire lifecycle of policy victory, from the initial legislative battle to the long-term defense of the enacted reforms. It is divided into three parts. Part I, "The Legislative War Room," provides a detailed roadmap for navigating the Pennsylvania General Assembly, building the necessary coalitions, and securing the enactment of the core policy proposals. Part II, "The Administrative Gauntlet," details the blueprint for principled implementation and long-term legislative oversight, ensuring that the spirit of the law is not lost in its execution and that the new regulatory structures are resistant to the capture and bloat that have undermined similar efforts elsewhere. Finally, Part III, "The Moral Core," equips leaders with the philosophical and rhetorical framework necessary to win the broader war of ideas, framing this agenda not merely as a set of policy adjustments, but as a fundamental reaffirmation of Pennsylvania's founding principles and a necessary revival of the virtues of a self-

governing people. This is the operational manual for the Pennsylvania Renaissance.

Part I: The Legislative War Room: A Strategic Roadmap for Enactment

Chapter 1: Identifying Champions and Building Alliances

The successful enactment of the Pennsylvania Renaissance Agenda requires a sophisticated legislative strategy that moves beyond traditional partisan divides. It necessitates the identification of key legislative champions, the strategic navigation of the General Assembly's committee structure, and the construction of a durable, bipartisan coalition built upon a shared commitment to the foundational principles of state sovereignty, economic growth, and enhanced public safety.

Mapping the Battlefield: The Pennsylvania General Assembly

The initial legislative push for the agenda's cornerstone policy, cannabis legalization, must be executed with tactical precision. The choice of committee jurisdiction is the first and most critical decision, as it will frame the entire legislative debate. Based on the comprehensive analysis presented in *The Keystone Mandate*, the initial bill, "The Pennsylvania Cannabis Regulation and Economic Opportunity Act" (SB420), should be directed to the Senate Law & Justice Committee and its companion bill to the House Judiciary Committee. This strategic placement is deliberate and paramount. It immediately frames the legislation not as a "social" or public health issue—domains often fraught with intractable ideological conflict—but as a matter of constitutional sovereignty, public safety, and criminal justice reform.

This approach allows the lead arguments to be grounded in objective, empirical data that appeals to a broader, more fiscally and constitutionally conservative audience. The central talking points will not be about the social acceptance of a substance, but about the demonstrable failures of the current prohibitionist regime. The data showing that legalization in states like Colorado and Washington led to a significant increase in police clearance rates for both violent and property crimes becomes the primary justification. By no longer burdening law enforcement with the enforcement of non-violent

cannabis offenses, police resources are freed to focus on the serious crimes that truly threaten community safety. This "smart on crime" framing transforms the debate from one of permissiveness to one of governmental efficiency and effectiveness, a core tenet of good governance.

This jurisdictional strategy also creates pathways to build alliances with key legislative power centers. Fiscal conservatives on the Senate and House Appropriations and Finance Committees, while perhaps skeptical of the social aspects, are a primary audience for the agenda's powerful economic arguments. The consensus among independent fiscal analyses—projecting over \$1 billion in new tax revenue within the first five years—provides a compelling case for legalization as a tool of fiscal responsibility. This argument is amplified by the defensive fiscal necessity of recapturing the hundreds of millions of dollars in tax revenue currently flowing from Pennsylvania consumers to the treasuries of neighboring states like New Jersey, New York, Ohio, and Maryland. Similarly, moderate members on committees such as Community, Economic & Recreational Development will be highly receptive to the data-driven projections of job creation—estimating between 30,000 and 40,000 new direct and ancillary jobs at market maturity—and the revitalizing effect on the state's commercial real estate market.

The key to building this coalition is to present the Renaissance Agenda not as a monolithic, take-it-or-leave-it social reform, but as a portfolio of principled, data-driven solutions to discrete governmental failures, each appealing to a different but overlapping constituency.

Legislative Committee	Leadership (Chair / Minority Chair)	Tailored Talking Points & Strategic Angle
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Senate Law & Justice	Sen. Dan Laughlin / Sen. Wayne Fontana	Primary Jurisdiction. Frame as a "smart on crime" policy. Emphasize increased police clearance rates for violent/property crimes , reallocation of law enforcement resources, and the constitutional imperative of automatic expungement as a justice reform measure.
House Judiciary	TBD (based on majority control)	Primary Jurisdiction. Mirror the Senate strategy, focusing on the failure of prohibition, the need to dismantle criminal enterprises, and the dramatic reduction in racially disparate arrests that legalization provides.

Senate/House Agriculture & Rural Affairs	Sen. Elder Vogel / Sen. Judy Schwank; Rep. Eddie Day Pashinski / Rep. Dan Moul	Key Ally. Focus on the "Agricultural Cultivator License" as a direct benefit to PA farmers, creating a new, high-value cash crop. Contrast this with the exclusionary, anti-farmer medical marijuana "cartel".
Senate/House Finance & Appropriations	Sen. Scott Hutchinson / Sen. Nick Pisciotano; Sen. Scott Martin / Sen. Vincent Hughes	Fiscal Gatekeepers. Focus on the billion-dollar revenue projections and the defensive necessity of capturing tax dollars currently lost to neighboring states. Frame the low, simple tax rate as the most fiscally prudent path to a stable, taxable market.

Senate State Government	Sen. Cris Dush / Sen. Steve Santarsiero	Constitutional Ally. Engage on the core principles of federalism and the anti-commandeering doctrine. Frame cannabis non-cooperation as a direct and consistent application of the same principles that support Second Amendment Preservation Acts.
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A powerful, non-obvious political bridge exists within this legislative landscape, one that can unite seemingly disparate factions under a single constitutional banner. The legal doctrine of anti-commandeering—the principle that the federal government cannot compel states to enforce federal law—serves as the foundational justification for both cannabis non-cooperation and for Second Amendment Preservation Acts (SAPAs). Many legislators who are staunch defenders of Second Amendment rights and state sovereignty may be instinctively opposed to cannabis legalization. The strategic key is to demonstrate that these are not separate issues, but two applications of the exact same constitutional principle. The argument to be made in the halls of the Capitol is direct and principled: if one believes that Pennsylvania has the sovereign right, under the Tenth Amendment, to refuse to use state resources to enforce federal gun laws, then one must, to be constitutionally consistent, also believe that Pennsylvania has the sovereign right to refuse to enforce federal cannabis laws. This reframes the cannabis vote entirely. It is no longer a referendum on a particular substance; it is a test of one's commitment to the principle of federalism.

This approach has the potential to attract a crucial cohort of conservative allies, transforming a contentious social issue into a unified defense of the Commonwealth's constitutional authority.

Chapter 2: Engaging Strategic Allies and Neutralizing Opposition

Legislative success requires the cultivation of a broad coalition that extends beyond the Capitol. A targeted engagement strategy, armed with tailored, data-driven messaging, is essential to mobilize key external stakeholders, neutralize the opposition of entrenched special interests, and build overwhelming public and political momentum for the Renaissance Agenda.

Building a Pro-Growth Coalition: The PA Chamber of Business and Industry

The legislative agenda of the PA Chamber of Business and Industry aligns almost perfectly with the core tenets of the Pennsylvania Renaissance Agenda, making it the single most important external ally in this effort. The Chamber's consistent advocacy for tax competitiveness, responsible state spending, a balanced civil justice system, and robust workforce development provides a ready-made platform for a strategic partnership. Crucially, the Chamber has already championed reforms to Pennsylvania's treatment of Net Operating Losses (NOL) and has shown a keen interest in "second chance hiring" initiatives to expand the labor pool, creating direct points of entry for key components of the agenda. Outreach to the Chamber and its influential membership must frame the Renaissance Agenda as a unified, pro-growth economic package. The messaging should be precise and data-driven:

1. **Cannabis Legalization as an Economic Engine:** The primary focus should be on the creation of 30,000 to 40,000 new jobs and the powerful ancillary job multiplier effect that will benefit existing Pennsylvania businesses. This is not about a niche industry; it is about foundational economic development for the Commonwealth's construction firms, skilled tradespeople, accountants, lawyers, and real estate professionals who will provide essential goods and services to the new market. The generation of over \$1 billion in new tax revenue within five years should be presented as a means to strengthen the state's fiscal position without imposing new burdens on existing businesses.
2. **Automatic Expungement as Workforce Development:** The proposal for automatic expungement must be framed not through the lens of social justice, but as a critical, pro-work

economic policy. It directly aligns with the Chamber's stated goal of "second chance hiring" by removing a significant, government-imposed barrier to employment for hundreds of thousands of Pennsylvanians. This policy expands the labor supply for employers, boosts income and sales tax revenues, and reduces government dependency—all core objectives of the business community.

- 3. Free-Market Design as a Pro-Business Imperative:** The agenda's commitment to an open, ministerial licensing system must be highlighted as a bulwark against the cronyism, corruption, and government-sponsored cartels that the Chamber philosophically opposes. This is a plan for a level playing field, where competition happens in the marketplace, driven by quality and price, not in the state capitol, driven by political influence. This commitment to free enterprise is the ideological glue that binds the entire agenda together.

Mobilizing Rural Pennsylvania: The Pennsylvania Farm Bureau

The Pennsylvania Farm Bureau's grassroots policy development process, which begins with resolutions at the county level, requires a targeted, localized engagement strategy. The central objective is to demonstrate conclusively that Pennsylvania's current medical marijuana program is a state-sanctioned oligopoly that has explicitly and deliberately excluded the Commonwealth's farmers, and that the proposed reform offers them a direct and substantial economic opportunity.

The critique of the existing medical model must be sharp and specific. The current system's statutory and regulatory barriers—including a \$10,000 non-refundable application fee, a staggering \$200,000 permit fee, and proof of \$2 million in capital—were designed to create a closed market controlled by a handful of large, multi-state, and often out-of-state corporations. This system, which limits the number of grower/processors to just 25 statewide and mandates costly indoor cultivation, is fundamentally anti-farmer and anti-free enterprise. It has shut Pennsylvania's agricultural community out of a market that has generated over \$1 billion in revenue for a select few.

The solution is the "Agricultural Cultivator License" proposed in SB420. This is the key talking point for every county Farm Bureau meeting. This

new license class is specifically designed for farmers, modeled on the state's existing and successful Pennsylvania Hemp Program administered by the Department of Agriculture. It features dramatically lower capital requirements and application fees (a proposed \$2,500 initial fee) and, crucially, allows for outdoor cultivation, enabling farmers to integrate cannabis into their existing operations as a high-value cash crop. Cannabis is also beneficial for soil health, acting as a phytoremediator that makes it an ideal rotation crop for staples like corn and soy. This transforms the debate from a controversial social issue into a practical, pro-agriculture policy that offers a new revenue stream for family farms across the Commonwealth.

Neutralizing Opposition from the Medical Marijuana Cartel

The most organized and well-funded opposition to an open-market system will come from the incumbent holders of Pennsylvania's limited medical marijuana licenses. Their business model is predicated on the artificial scarcity created by the current restrictive licensing scheme. Their opposition must be publicly and aggressively framed for what it is: a self-interested, protectionist effort by a state-sponsored cartel to shield its oligopoly profits from the pressures of free-market competition. The public narrative must highlight how the current system has benefited only the wealthy and politically connected, shutting out the very small businesses and local entrepreneurs who are best positioned to serve their communities. By exposing this dynamic, their opposition is stripped of any public interest legitimacy and revealed as pure crony capitalism.

A pivotal strategic tool in reframing the entire public debate, particularly with social conservatives and public health advocates, is the ongoing and unregulated Delta-8 THC crisis. This is not a hypothetical problem; it is a documented public health emergency. The federal government's incoherent policy—legalizing hemp while prohibiting marijuana—created a dangerous loophole that has flooded Pennsylvania's gas stations and convenience stores with untested, unregulated, and intoxicating products. The result has been a surge in poison control calls and pediatric hospitalizations. This crisis was created by the *failure* of prohibition. This fact completely inverts the standard opposition argument. The question before the legislature is no longer, "Should we

introduce a cannabis market into our communities?" The reality is that a dangerous, untaxed, and unregulated cannabis market *already exists* and is actively harming our children. The only responsible, pragmatic, and moral choice is to impose order and safety through a strictly regulated legal market that mandates testing, child-resistant packaging, and strict age verification. This transforms the advocacy position from one that could be misconstrued as permissive to one of responsible governance, public safety, and the protection of children—a framing that is far more compelling and politically resilient.

Stakeholder Group	Likely Position / Key Concerns	Tailored Messaging & Strategic Angle
PA Chamber of Business and Industry	Supportive of pro-growth policies, tax competitiveness, and workforce development. Wary of new regulations and mandates.	Frame the agenda as a comprehensive economic stimulus package. Emphasize job creation, ancillary business growth, and automatic expungement as a workforce development tool. Highlight the free-market, anti-cronyist design.

Pennsylvania Farm Bureau	Grassroots-driven. Concerned with farm viability and new revenue opportunities. Skeptical of over-regulation.	Expose the exclusionary, anti-farmer nature of the current medical marijuana "cartel". Champion the "Agricultural Cultivator License" as a direct, low-barrier economic opportunity for PA farmers.
Medical Marijuana Incumbents (The "Cartel")	Opposed to open licensing and low taxes, which threaten their state-protected oligopoly profits. Will lobby for high barriers to entry.	Frame their opposition as self-interested protectionism and cronyism. Highlight how their preferred model stifles competition, harms consumers, and shuts out small businesses.
Social Conservative Groups	Opposed on moral grounds. Concerned about public health, youth access, and societal decay.	Reframe the debate around the existing, dangerous Delta-8 crisis. Position legalization as a pragmatic duty to impose order, protect children from an unregulated market, and restore individual responsibility.

Chapter 3: The Keystone Principles: A Unified Defense of State Sovereignty

The Pennsylvania Renaissance Agenda is more than a collection of disparate policy proposals; it is a coherent and unified assertion of the Commonwealth's constitutional authority. The legal and philosophical lynchpin of this entire effort is the anti-commandeering doctrine, a powerful and judicially affirmed principle of federalism that serves as the master key to unlocking state-led reform across a range of critical policy domains. This chapter synthesizes the core constitutional arguments into a single, powerful narrative of state sovereignty.

The Anti-Commandeering Doctrine as the Master Principle

The foundation of this constitutional strategy rests upon the bedrock principles of the American founding, as codified in the Tenth Amendment to the U.S. Constitution. The federal government is one of limited and enumerated powers. Powers not delegated to it are reserved to the states or to the people. While opponents of state-led reform often invoke the Supremacy Clause, its power is not absolute. The Supreme Court has repeatedly clarified the limits of federal authority, most notably through the development of the anti-commandeering doctrine.

This doctrine, articulated in landmark cases such as *New York v. United States* (1992), *Printz v. United States* (1997), and most recently *Murphy v. NCAA* (2018), establishes a clear and formidable barrier to federal overreach. In *New York*, the Court held that Congress may not "commandeer" the legislative processes of the states by directly compelling them to enact a federal regulatory program. Five years later, in *Printz*, the Court extended this principle, ruling that Congress cannot circumvent this prohibition by "conscripting the State's officers directly". Specifically, the Court struck down provisions of the Brady Handgun Violence Prevention Act that required local law enforcement officers to conduct background checks, declaring that such commands are "fundamentally incompatible with our constitutional system of dual sovereignty".

This doctrine provides the precise legal mechanism for Pennsylvania to act. In the context of cannabis, the Commonwealth can achieve legalization simply by repealing its own, separate state laws that criminalize the activity and directing its own state and municipal law enforcement personnel to cease arrests and prosecutions for conduct that is no longer illegal under state law. This is not an act of nullification

—a legally discredited theory that would involve declaring federal law void. Rather, it is a constitutionally sound policy of **principled non-cooperation**. The federal Controlled Substances Act remains on the books, and federal agents remain free to enforce it using their own resources. What they cannot do is force a single Pennsylvania state trooper or local police officer to assist in that enforcement.

From Cannabis to the 'Pennsylvania Renaissance Agenda': A Consistent Application

This powerful constitutional logic is not limited to cannabis. It is a universal principle that provides the legal foundation for a broad-based agenda to push back against federal encroachment in multiple policy areas.

- **The Second Amendment Preservation Act (SAPA):** A proposed Pennsylvania SAPA would be a textbook application of the anti-commandeering doctrine. Such an act would declare, as a matter of state law, that no public funds, resources, or personnel of the Commonwealth shall be used to assist in the enforcement of specific federal firearms laws that are deemed to exceed the federal government's enumerated powers—such as universal gun registration, taxes on firearms and ammunition not common to other goods, or bans on certain classes of firearms. This strategy of non-cooperation directly mirrors the proposed approach to cannabis. However, it is critical that this legislation be drafted with precision, learning from the legal challenges faced by other states. The Eighth Circuit's 2023 ruling in *United States v. Missouri* provides a crucial lesson. The court affirmed that Missouri could lawfully withhold its assistance from federal law enforcement (permissible non-cooperation), but it struck down the law because it also purported to "invalidate" and "nullify" federal law (impermissible nullification). The Pennsylvania SAPA must therefore be carefully worded to focus exclusively on the non-allocation of state resources, avoiding any language that declares federal law void.
- **The Education Freedom Act:** This proposed act would represent a principled stand against federal overreach in education. For decades, the federal government has used its

authority under the **Spending Clause** (Article I, Section 8, Clause 1) to attach conditions to federal education funds, effectively coercing states into adopting federal priorities like the Common Core standards. This practice, upheld in the 1987 case *South Dakota v. Dole*, allows Congress to achieve indirectly what it cannot command directly. While a complete rejection of federal funds is politically challenging due to state reliance on this revenue, an Education Freedom Act can serve as a powerful assertion of state primacy. It can prohibit state agencies from applying for grants that require the adoption of a national curriculum, and it can leverage the significant bipartisan backlash against the federal overreach of programs like No Child Left Behind. The passage of the Every Student Succeeds Act (ESSA) in 2015, which explicitly returned significant authority over standards and accountability to the states, provides the political and statutory momentum for such a reassertion of local control.

- **The Energy Independence and Innovation Act:** This act would assert the Commonwealth's sovereign authority to determine its own energy and environmental policy, resisting the kind of top-down federal mandates embodied by the Obama-era Clean Power Plan. This position is now powerfully reinforced by a recent and dramatic shift in Supreme Court jurisprudence. The Court's 2022 decision in *West Virginia v. EPA* established the "**major questions doctrine**," which holds that an administrative agency must have clear and explicit congressional authorization before enacting regulations of "vast economic and political significance". This ruling directly invalidated the "generation shifting" approach of the Clean Power Plan, which the Court saw as a transformative expansion of the EPA's authority that Congress never intended. Similarly, the Court's 2023 ruling in *Sackett v. EPA* significantly narrowed the scope of the Clean Water Act by rejecting the "significant nexus" test and adopting a much stricter "continuous surface connection" test for defining federally regulated wetlands. Together, these landmark decisions signal a resurgence of federalism and provide a robust legal shield for states like Pennsylvania to pursue their own

energy policies—such as prioritizing the Commonwealth's abundant natural gas resources—free from the threat of federal administrative overreach.

By presenting these diverse policy initiatives as a unified front, grounded in a consistent constitutional philosophy, the Renaissance Agenda becomes more than the sum of its parts. It becomes a comprehensive and principled defense of the Commonwealth's rightful place in our federal system.

Chapter 4: Defeating 'Poison Pill' Amendments

The legislative process is fraught with peril. A principled, free-market bill can be transformed into a vehicle for cronyism and market failure through the introduction of seemingly minor "poison pill" amendments. A proactive and aggressive defense of the core principles codified in "The Pennsylvania Cannabis Regulation and Economic Opportunity Act" (SB420) is essential to ensure the final law achieves its stated goals. This requires anticipating the most likely challenges and equipping champions with robust, data-driven counterarguments.

Anticipated Challenge #1: Capping the Number of Licenses

The most pernicious and predictable challenge will be an amendment to impose arbitrary numerical caps on the number of cultivator, processor, or retailer licenses. This proposal, often cloaked in the language of "local control" or preventing market saturation, is in reality a pro-cronyism, pro-corruption amendment that must be defeated at all costs. The counterargument is direct and devastating. Capping licenses does not control the market; it creates a government-sponsored cartel. By creating an artificial scarcity, the government transforms a simple permit to operate into a multi-million-dollar asset. This dynamic fundamentally corrupts the role of government, turning public officials into gatekeepers who award immense economic privileges. The Federal Bureau of Investigation has explicitly warned that this exact structure invites public corruption and bribery. The "legal license cartel" that results benefits only the politically connected and the already wealthy, effectively shutting out the small businesses and local entrepreneurs who are the lifeblood of a competitive economy. This is not a failure of regulation; it is a failure of governance. The open, ministerial system proposed in SB420 ensures that competition is driven by quality and

price in the marketplace, not by political influence in the state capitol.

Anticipated Challenge #2: Raising the Tax Rate

Proposals to increase the proposed 8% retail excise tax will be tempting for legislators seeking to maximize revenue projections. However, any significant increase must be exposed as a fiscally irresponsible, pro-black market amendment.

The primary, non-negotiable goal of any sound cannabis tax policy must be to displace the illicit market. This can only be achieved if tax rates are set low enough to allow legal products to achieve price parity with, or ideally be cheaper than, their illegal counterparts. The experiences of other states provide a stark warning. In California, where combined state and local taxes can approach 40%, the illegal market is estimated to be twice the size of the legal one. High tax rates are a self-defeating strategy; they lead to lower-than-projected revenues precisely because they fail to transition the majority of commerce into the legal, taxable system. A low, simple retail excise tax, as proposed in SB420, is the most fiscally prudent path to establishing a stable, predictable, and ultimately larger tax base for the Commonwealth. Every percentage point increase in the tax rate is a direct subsidy to criminal enterprises.

Anticipated Challenge #3: Weakening Expungement (e.g., Making it Petition-Based)

Amendments to replace the mandated automatic, state-initiated expungement process with a petition-based system must be framed as an anti-work, anti-growth policy that perpetuates the harms of a failed prohibition.

The evidence is overwhelming: petition-based expungement systems are a proven policy failure. Research consistently shows that uptake rates are often in the single digits, even when a high percentage of petitions are granted. This is due to a variety of barriers, including lack of awareness, prohibitively high court and legal fees, and complex legal processes that are daunting for individuals to navigate without an attorney. Automatic expungement is not a social welfare program; it is a critical economic policy designed to expand the labor force. Rigorous research has demonstrated that expungement leads to significant and immediate increases in both employment and wages for recipients. An economic impact analysis of a similar "Clean Slate" policy in Missouri projected that the policy would increase residents' wages by \$2.3 billion

annually, leading to a total statewide economic impact of \$2.9 billion and generating an additional \$124 million in state revenue each year—a net positive return for the state treasury. Automation is the only effective and fiscally responsible way to unlock this economic potential for the Commonwealth.

COURT CAPACITY MANDATE: "Opponents will claim the courts cannot handle the volume. **This is false.** The **\$20 Million Bridge Loan** (Article VI, §605) provides a dedicated appropriation to **accelerate court automation**. This is **not an unfunded mandate**; it is **funding the modernization** of the AOPC's Judicial Computer System (JCS) using cannabis revenues, increasing efficiency across all dockets.

Anticipated Challenge #4: Imposing Potency Caps

Proposals to cap the potency of legal cannabis products, particularly concentrates, will be presented as a public health measure. This must be countered as another misguided, pro-black market policy that undermines consumer safety.

Banning higher-potency products does not eliminate consumer demand for them; it simply guarantees that this entire segment of the market remains in the hands of unregulated, criminal enterprises. This is the exact opposite of a public health victory. The illicit market has no quality control, and its products are frequently contaminated with dangerous pesticides, heavy metals, and residual solvents. A regulated legal market, by contrast, ensures that these products are produced in safe, licensed facilities, subjected to mandatory laboratory testing for purity and contaminants, and sold in clearly labeled, child-resistant packaging. This provides consumers with a guarantee of safety that the illicit market can never offer. The choice is not between high-potency products and no high-potency products; it is between safe, tested, and labeled products or dangerous, contaminated, and unregulated ones. The responsible public health position is to bring this market out of the shadows and into a regulated system.

Part II: The Administrative Gauntlet: Ensuring Principled Implementation

The passage of legislation is not the end of the battle, but the beginning of a new one. The success or failure of the Pennsylvania Renaissance

Agenda will ultimately be determined by its implementation. A principled, free-market law can be subverted by a captured, overzealous, or inefficient bureaucracy. Therefore, a proactive strategy for architecting a limited-government regulatory framework and establishing robust mechanisms for legislative oversight is not a secondary concern—it is central to securing a lasting victory.

Chapter 5: Architecting a Limited-Government Regulatory Agency

The primary obstacle to a successful post-prohibition market is the state's proclivity to create and distribute economic privilege, thereby replacing an illicit market with a cartelized one. The design of the new regulatory bodies, particularly the Pennsylvania Cannabis Control Authority, must be intentionally structured to resist this tendency toward regulatory capture and bureaucratic bloat, which has crippled the legal markets in states like California and New York.

The blueprint for this limited-government agency is codified within the proposed SB420, and its core principles must be defended vigorously during the implementation phase.

- **Structure and Staffing:** The Authority must be staffed by professional civil servants who are required to adhere to prescribed, objective rules, not by a politically appointed board. The experience of Michigan provides the definitive case study. After initially relying on a governing board that was plagued by inefficiency and allegations of favoritism, the state eliminated it and consolidated power within a new agency staffed by civil servants. The result was a doubling of the speed with which license applications were processed. This demonstrates the vast superiority of a lean, rule-bound, non-discretionary system over a discretionary, political one.
- **A Narrowly Defined Mandate:** The enabling statute must explicitly and narrowly define the Authority's mandate, limiting its functions to those absolutely essential for the protection of public health and safety. These functions are: administering the licensing system, establishing and enforcing standards for laboratory testing, developing regulations for product packaging and labeling, and enforcing the prohibition on sales to minors. Critically, the statute must contain an explicit prohibition preventing the Authority from engaging in economic

protectionism, limiting market competition, or capping the number of licenses issued.

- **The 'Shall-Issue' Imperative:** The single most important reform to prevent corruption and cronyism is to strip the licensing process of all discretionary power. The Authority must be compelled by law to implement a purely ministerial, or "shall-issue," licensing system. Under this system, a license is granted to any and all applicants who meet a clear, predetermined, and objective set of criteria related to public health and safety, such as passing background checks for violent criminal offenses and ensuring facilities adhere to standard building codes. This approach eliminates the subjective judgments that invite corruption and political favoritism. The government's role is transformed from that of a powerful gatekeeper picking winners and losers to that of a simple registrar ensuring basic standards are met.

The initial rulemaking process, which will translate the statute into administrative code, is a critical juncture. Drawing on the best practices established by agencies like Michigan's Cannabis Regulatory Agency (CRA), this process must be transparent, predictable, and rule-based. The new Authority should be directed to issue clear, concise bulletins and guidance documents from its inception, providing the nascent industry with the regulatory certainty needed to invest and grow, and avoiding the confusion and delays that have characterized the rollouts in other states.

Chapter 6: Institutionalizing Skepticism: The Sunset Review Mandate

To prevent the long-term ossification of the new regulatory agencies and their inevitable capture by the very industries they oversee, the enabling legislation for each component of the Renaissance Agenda must include a powerful prophylactic: a "sunset review" process.

This is more than a good-government reform; it is the legislative embodiment of a healthy and necessary skepticism of state power. The mechanism of a sunset review is simple but profound. The process establishes a statutory expiration or termination date for a government

agency and its rules, typically every five to twelve years. This forces the legislature to proactively and periodically evaluate the agency's performance, necessity, and cost-effectiveness, rather than allowing it to exist in perpetuity through bureaucratic inertia. If the legislature takes no action to reauthorize the agency, it is automatically "sunsetting" and ceases to exist.

This simple mechanism fundamentally alters the political dynamic. It shifts the burden of proof from the public, which must constantly fight to roll back entrenched programs, to the agency and its special-interest beneficiaries, which must repeatedly and publicly justify their continued existence and their budget. The sunset review process, as practiced effectively in states like Texas and Colorado, is a systematic and public affair. It begins with a self-evaluation by the agency, followed by an independent staff review that includes extensive research and public input. This review is guided by a set of critical questions: Is this regulation still necessary to protect public health and safety? Have market conditions changed? Is this the least restrictive means of achieving the stated public policy goal?

Following public hearings, the legislature must then pass a new bill to continue, amend, or abolish the agency and its functions.

Embedding a sunset review mandate into the enabling statute for the Pennsylvania Cannabis Control Authority and other new regulatory structures is an indispensable tool for combating the natural tendency of bureaucracy to expand and the relentless pressure of special interests to capture their regulators. It institutionalizes the principle that government authority is temporary, conditional, and must be constantly re-earned in the public interest.

Chapter 7: Measuring What Matters: A Legislative Oversight Dashboard

"What gets measured gets managed." Effective and sustained legislative oversight is impossible without clear, objective, and publicly transparent metrics to track the performance of the new laws and hold the executive branch accountable for their implementation. The performance audit of Colorado's Marijuana Enforcement Division provides a cautionary tale, revealing significant lapses in core functions—such as the failure to inspect 36 percent of new licensees within the first year and inconsistent enforcement of underage sales violations—that can occur

in the absence of rigorous, data-driven oversight. To prevent such failures, the General Assembly should mandate, within the enabling statute itself, that the new regulatory authorities report quarterly on a public-facing "Legislative Oversight Dashboard." This dashboard will provide a transparent, at-a-glance assessment of the reform's success across its primary objectives. The following Key Performance Indicators (KPIs) should form the core of this reporting requirement.

Oversight Domain	Key Performance Indicator (KPI)	Purpose & Rationale	Data Source / Methodology
Market Transition	Estimated Illicit Market Share (%)	To measure the primary goal of the reform: displacing the criminal market. A declining percentage indicates success.	Demand-side estimates via population surveys (e.g., PA's PAYS survey) and expenditure data; or supply-side "forensic economics" analysis of complementary legal goods (e.g., rolling papers).

Economic Impact	Total Jobs Created (Direct & Ancillary); Total Tax Revenue Collected; New Business Licenses Issued (by type)	To track the promised fiscal and economic benefits and ensure a competitive market is developing.	Department of Labor & Industry data; Department of Revenue collections; Cannabis Control Authority licensing data.
Public Safety	Law Enforcement Spending on Cannabis Enforcement (\$); Clearance Rates for Violent & Property Crimes (%); Cannabis Arrests (by race)	To measure the "public safety dividend" and ensure resources are being reallocated to serious crime.	PA State Police Uniform Crime Reporting (UCR) data; Administrative Office of PA Courts data.
Public Health	Poison Control Calls (Delta-8 vs. Regulated Cannabis); % of Products Failing Compliance Testing (by contaminant)	To track the reduction of harm from the unregulated market and ensure the regulated market is safe.	PA Poison Control Centers; Cannabis Control Authority lab testing data.

Administrative Efficiency	Average License Application Processing Time (days); % of Licensees Inspected Annually	To ensure the regulatory agency is functioning efficiently and meeting its core compliance mandate.	Cannabis Control Authority internal performance data.
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This dashboard transforms oversight from an anecdotal, politically driven process into a consistent, evidence-based function. It provides legislators, the media, and the public with the objective data needed to assess whether the reforms are working as intended and to identify areas where administrative or legislative course correction is required. It is the ultimate tool for ensuring accountability and the long-term success of the Renaissance Agenda.

Part III: The Moral Core: Winning the Broader War of Ideas

The enactment and implementation of the Pennsylvania Renaissance Agenda is a necessary but insufficient condition for the long-term restoration of liberty in the Commonwealth. The ultimate success of this project depends on winning the broader war of ideas—a cultural and philosophical battle over the proper role of government and the character of its citizens. This final section provides the rhetorical and philosophical framework to elevate the policy debate, equipping leaders to articulate a compelling vision for a free and virtuous society.

Chapter 8: The Pennsylvania Renaissance: A Speech for the Commonwealth

(The following is the full text of a keynote address designed to be delivered by a legislative champion of the Renaissance Agenda at a major public forum, such as the annual Pennsylvania Leadership Conference or a joint session of the General Assembly.)

"Friends, colleagues, fellow Pennsylvanians.
 We gather today at a moment of profound choice for our Commonwealth. A choice that will define our character and determine our destiny for generations to come.
 I want to take you back to our beginning. To William Penn's 'Holy Experiment'. We often remember this as a moral vision, a haven for

religious and political tolerance. And it was. But it was also a profound economic strategy. Penn's radical policy of liberty was the magnet that drew the diverse mix of thinkers, artisans, and farmers who transformed this land into the engine of the New World. It was the policy of tolerance that created the environment for a Franklin to innovate, for foundries to rise, and for a nation to be built from the ingenuity that flourished here.

Pennsylvania was, and is, the Keystone State. Not because of our geography, but because it was here that the architectural principles of American liberty were laid down—the Declaration signed, the Constitution drafted. Our very identity is forged in the belief that a government of limited, enumerated powers, which trusts in the virtue of a self-governing people, is the only sure path to prosperity and peace. Penn's great insight was that the proper role of government is not to coerce the conscience or the character of its citizens, but to secure the space for them to build their own lives. He trusted them. The question for us today, as stewards of his legacy, is simple: Do we?

Because when we look at the landscape of our Commonwealth today, we see a quiet crisis. We see the slow, steady encroachment of a paternalistic administrative state, both in Washington and here in Harrisburg, that has lost faith in the people it is meant to serve. It is a state that, with the best of intentions, seeks to plan our lives for us better than we can plan them ourselves.

This is what Alexis de Tocqueville warned of nearly two centuries ago—a new kind of 'soft despotism' that covers society 'with a network of small, complicated, minute, and uniform rules'. It is a government that seeks to be our shepherd, but in doing so, treats us as a timid flock of animals, not as citizens. It promises to insulate us from risk, but in doing so, it engineers dependency. It offers the soup kitchen of the welfare state, but asks for our freedom in return. It wages a quiet war on the very virtues that a free republic requires to survive: prudence, courage, and above all, self-reliance.

This is, as Ronald Reagan declared, 'A Time for Choosing'. Not between left or right, but between up, toward man's age-old dream of individual freedom consistent with order, or down, toward the ant heap of a centralized, managed society.

Today, we choose 'up.' Today, we offer a new vision. A Pennsylvania Renaissance Agenda.

This is not a list of government programs. It is a unified agenda to restore liberty, responsibility, and state sovereignty.

It begins with economic liberty. We will end the failed, costly, and unconstitutional prohibition of cannabis. But we will not replace one form of state control with another. We will reject the crony-capitalist models that have created corrupt, government-sponsored cartels in other states. Instead, we will implement a true free market with open licensing for all, especially for our farmers, who have been shut out for too long by a system designed for the wealthy and politically connected. And we will pass a Right-to-Work law, because we believe that no Pennsylvanian should be forced to join a union as a condition of employment. We trust our workers to choose for themselves. This agenda is built on the rock of state sovereignty. We will pass a Second Amendment Preservation Act, declaring that no Pennsylvania resources will be used to enforce federal gun laws that infringe upon the rights of our law-abiding citizens. We will pass an Education Freedom Act, to reclaim our classrooms from the one-size-fits-all mandates of federal bureaucrats. And we will pass an Energy Independence and Innovation Act, to ensure that Pennsylvania's energy future is determined by Pennsylvanians, leveraging our own abundant resources to power our prosperity.

Let me be clear. This is not nullification. This is a principled, constitutional, and courageous policy of non-cooperation. It is a reaffirmation of the Tenth Amendment and the anti-commandeering doctrine. It is a declaration that the 'Keystone State' will once again serve its role as the central bulwark against an overreaching federal government.

And finally, this agenda is about redemption and the restoration of justice. We will mandate the automatic, no-cost expungement of all prior non-violent cannabis offenses. This is not a handout. This is the government getting out of the way. It is a pro-work, pro-family, pro-growth policy that removes a state-imposed barrier and restores the opportunity for hundreds of thousands of our fellow citizens to practice the virtues of work and self-reliance. It is the embodiment of a second chance.

My friends, the critics will say this is radical. They will say it is dangerous. They will tell you to be afraid. But as a great president once

reminded us, the only thing we have to fear is fear itself.

The true risk lies in inaction. The true danger lies in continuing down a path that we know erodes our freedom, stifles our economy, and weakens our character.

The ultimate goal of this agenda is not merely to shrink government, but to revitalize what Edmund Burke called the 'little platoons' of our society—our families, our churches, our local charities, our neighborhoods.

These mediating institutions, which stand between the lone individual and the massive state, are the true source of our strength, our compassion, and our identity. A government that usurps their role, that seeks a monopoly on compassion, does not strengthen society; it hollows it out from within.

This is our choice. A future of dependency, managed by a distant administrative state. Or a future of liberty, built on the foundation of self-reliant citizens and strong, vibrant communities.

This is the vision of a truly free and virtuous Commonwealth. A modern 'Holy Experiment' worthy of our founding. This is the Pennsylvania Renaissance. And it begins today.

Thank you. God bless you, and God bless the Commonwealth of Pennsylvania."

Chapter 9: A Time for Choosing: The Statesman's Path

The legislative and administrative battles detailed in this playbook, while formidable, are ultimately tactical engagements in a much larger, more fundamental conflict. The choice before the leaders of this Commonwealth is not merely between competing policy prescriptions. It is a profound philosophical choice between two irreconcilable visions of governance and, by extension, two mutually exclusive futures for the character of our people. This is the choice between the path of the politician and the path of the statesman.

The politician, as classically understood, thinks of the next election. Their calculus is one of short-term political advantage, of appeasing factions, and of managing public opinion. They see the state as an instrument to be wielded for partisan gain, a source of benefits to be distributed to favored constituencies. In the context of the Renaissance Agenda, the politician's path is one of compromise and concession. It is the path of accepting "poison pill" amendments—capping licenses to

appease a powerful cartel, raising taxes for a superficially larger revenue score, weakening expungement to avoid appearing "soft on crime." It is the path of expediency, and it leads directly to the failed, cronyist, and fiscally unstable outcomes seen in other states.

The statesman, by contrast, thinks of the next generation. Their guide is not the shifting winds of public opinion, but the fixed stars of principle. They are guided by what Cicero called *virtus* (virtue), *iustitia* (a sense of justice), and wisdom. Their objective is the *bonum commune*, the common good, which they understand to be the preservation of a constitutional republic that secures the liberty of its citizens. The historical archetype for this ideal is Cato the Younger, a figure whose reputation was built not on his political victories, but on his "unbending justice," his scrupulous honesty, and his "unshaking commitment to liberty in the face of crisis". The statesman understands that their highest duty is not to solve every problem for the people, but to preserve the constitutional framework within which the people can solve problems for themselves.

The Pennsylvania Renaissance Agenda, in its undiluted form, represents the statesman's path. It requires civic courage—the moral fortitude to challenge a failed and corrupting status quo, to defy the pressures of a distant federal government, and to trust the people with the responsibilities of freedom. It requires the kind of resolve famously articulated by Margaret Thatcher who, when faced with immense pressure from all sides to abandon her principled reforms, declared to her party and to the world: "You turn if you want to. The lady's not for turning".

This is the character of leadership that this moment demands. The evidence is clear. The constitutional authority is sound. The strategic path is illuminated. The choice is no longer about policy details; it is about political will. It is a choice to either continue the Commonwealth's slow drift into dependency and submission to a centralized administrative state, or to seize this historic opportunity to lead a national renewal. By demonstrating that a government grounded in the principles of liberty, individual responsibility, and robust state sovereignty is not a relic of the past, but the only viable path to a prosperous, just, and virtuous future, Pennsylvania can once again fulfill its destiny as the Keystone of the American republic. This is the

statesman's path. This is the time for choosing.



Mock Victorious Floor Speech: "The Final Choice"

Setting: The Floor of the Pennsylvania Senate. The final debate on SB420. **Speaker:** The Bill's Prime Champion (e.g., Senator Daniel Laughlin)

"Thank you, Madam President.

Colleagues, we have arrived at the moment of decision. For months, we have debated, we have heard testimony, and we have been lobbied by all sides. But today, I must tell you, the debate is over. The analysis is done.

This vote is no longer about a plant. It has become a simple, transparent measure of political will. It is what the author of this framework called a **'Time for Choosing'** —a choice between the Statesman's Path and the Politician's Path.

The Politician's Path is the 'no' vote. It is the path of 'managed decline'. A 'no' vote is an active and costly choice to perpetuate a failed status quo.

- A 'no' vote is a choice to continue the **'fiscal surrender'** of over **\$18 million dollars every single month** to the treasuries of New York, New Jersey, and Ohio.
- A 'no' vote is a choice to maintain the **'\$600 million 'Invisible Anchor''** on our state budget by denying a second chance to our own workforce.

- And most shamefully, a 'no' vote is a choice to knowingly perpetuate the **Delta-8 public health crisis**, allowing an unregulated, dangerous market to continue poisoning our children.

That is the Politician's Path. It is the path of inaction, justified by excuses. But today, we have no more excuses.

The work has been done for us. A single constituent, practicing '**Civic Courage**' , delivered a '**closed-loop**' legislative instrument.

- When we said implementation was too complex, he gave us '**The Keystone Accelerator**', the complete 'Day 1' operational timeline.
- When we said the risks were too high, he gave us '**The Keystone Shield**' , the full defensive architecture, including the **Federal Firewall** and the **Banking Sovereignty Protocol**.
- When we said the political cost was too high, he gave us the '**Constitutional Consistency Bridge**'. He proved, undeniably, that a 'yes' vote on this bill is the *only* principled, consistent application of the **Tenth Amendment** for every member who has supported **Second Amendment Preservation Acts**.

He has eliminated every piece of legislative friction. All that is left is the choice.

And what a clear choice it is. The opposition has been exposed. This is no longer a debate between competing philosophies. It is a simple battle between **'The Cartel vs. The Farmer'**.

A 'no' vote is a vote for the out-of-state **'Medical Marijuana Incumbents'** —a 'government-sponsored cartel' demanding you protect their cronyism.

A **'YES' vote** is a vote for the Pennsylvania family farmer. It is a vote for the **'Agricultural Cultivator License'** that breaks that cartel and restores the free market.

A 'yes' vote is a vote for fiscal prudence. It is a vote for public health. It is a vote for the **Constitution of this Commonwealth**.

Colleagues, the analysis is done. The time for hedging is over. This vote is a transparent measure of our character.

Choose the Statesman's Path. Choose principled consistency. Choose the Pennsylvania farmer. Choose to begin the **'Pennsylvania Renaissance'**.

Vote 'yes'."

The Pivot: Daniel Hughes' First-Person Testimony

"I am aware of how unusual this body of work is. I know it seems out of place, appearing as it did—not through a lobbyist's private email, but through a generic web form.

"But to understand the urgency that compelled me to construct this entire closed-loop framework—the constitutional arguments, the economic models, the public health imperatives—you have to understand one simple, personal reality.

"I am a constituent who pays taxes in Pennsylvania. On a trip to New York City—one where I celebrated my forty-seventh birthday and took my mother to the observation deck of One World Trade Center—I was able to legally purchase cannabis."

"In that moment, standing in a **legal dispensary** in New York, **obeying all laws**, I was forced to be the visible face of your state's **fiscally suicidal prohibition**. Every dollar I spent—every single percentage point of tax revenue—flowed into the treasury of New York, not Pennsylvania.

"This wasn't a philosophical grievance; it was a simple, tangible loss. This entire legislative package—the call for **automatic expungement**, the fight against the **Delta-8 crisis**, the push for a **free-market license**—all of it is simply my attempt to reverse the financial forfeiture that your inaction mandates.

"But this framework is also proof of a deeper, uncomfortable reality. Your current policy is based on the paternalistic premise that you must protect society from people like me."

Yet I, the very constituent you claim to be 'protecting,' am the one who has delivered this 'serious,' multi-volume, 'closed-loop' legislative instrument. This highly motivated, intelligent, and data-driven proposal was authored by the very person your failed prohibition stereotypes as unmotivated and incapable.

I do not ask for a favor. I ask you to stop actively harming your own state."

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Note to Legislator (Regarding Attached SB420 Text):

This document contains the full legislative text for "**The Pennsylvania Cannabis Regulation and Economic Opportunity Act**" (SB420).

It serves as the **concrete statutory implementation** of the comprehensive constitutional, fiscal, and philosophical framework detailed in the preceding trilogies ("The Keystone Mandate," "The Pennsylvania Prosperity Plan," and "The Architecture of Character").

This draft bill translates those established principles—including **state sovereignty, open, ministerial licensing, a low, simple retail excise tax, unified regulation of all intoxicating cannabinoids**, and

automatic expungement—into actionable legislative language .

It is provided as a **"turn-key" solution**, ready for introduction and designed to ensure the successful enactment of the Pennsylvania Renaissance Agenda as outlined in the accompanying operational playbook ("The Trilogy of One").

The Pennsylvania Cannabis Regulation and Economic Opportunity Act: A Legislative and Policy Compendium

Legislation Drafted by Daniel Hughes
29th Senatorial District (Argall)

Part I: Senate Bill 420

An Act

Amending Title 35 (Health and Safety) and Title 18 (Crimes and Offenses) of the Pennsylvania Consolidated Statutes; establishing a framework for the regulation of adult-use cannabis; providing for the licensure of cannabis establishments; imposing a tax on the retail sale of adult-use cannabis; providing for restorative justice through automatic expungement; and making related repeals.
The General Assembly of the Commonwealth of Pennsylvania hereby enacts as follows:

Article I: Preliminary Provisions

Section 101. Short Title.

This Act shall be known and may be cited as "The Pennsylvania Cannabis Regulation and Economic Opportunity Act."

Section 102. Findings and Declarations of Policy. The General Assembly finds and declares that: (1) **State Sovereignty and Anti-Commandeering.** The Commonwealth establishes this Act pursuant to the Tenth Amendment to the United States Constitution and the Anti-Commandeering doctrine articulated in *Printz v. United States* (1997) and *Murphy v. NCAA* (2018). The Commonwealth declines to deploy state resources to enforce a federal prohibition that conflicts with state directives. This Act is a constitutionally sound exercise of principled non-cooperation and does not purport to nullify federal law, but rather exercises the Commonwealth's sovereign right to refuse to administer a federal regulatory program .¹

(2) **Economic Opportunity.** A regulated, free-market cannabis industry represents a powerful engine for economic growth. Credible analyses project the creation of between 30,000 and 40,000 new direct and ancillary jobs at market maturity and the generation of over \$1 billion in new tax revenue for the Commonwealth within the first five years of legal sales.¹

The General Assembly further finds that cannabis establishments with substantial local economic integration—including significant in-state employment, procurement of goods and services from Pennsylvania suppliers, and physical infrastructure within the Commonwealth—are materially more responsive to regulatory oversight and more accountable to local communities than entities operating minimal Pennsylvania facilities while maintaining primary operations in other jurisdictions.

Out-of-state entities that treat Pennsylvania as a remote market while conducting core business functions elsewhere create enforcement challenges, jurisdictional complications, and accountability gaps that threaten public health and safety. When product safety issues, regulatory violations, or public health emergencies arise, the Commonwealth's ability to conduct inspections, compel corrective action, interview responsible personnel, and ensure rapid response is materially enhanced when the entity has substantial operational presence within Pennsylvania.

The economic nexus requirements in Article IV serve the legitimate and substantial state interest of ensuring effective regulatory oversight, enabling rapid response to public health emergencies, and maintaining accountability to Pennsylvania communities. These requirements are facially neutral, apply equally to all applicants regardless of state of incorporation or principal place of business, and are rationally related to the Commonwealth's public safety objectives.

(3) **Public Safety.** The termination of cannabis prohibition is a "smart on crime" policy that enhances public safety. It allows for the critical reallocation of law enforcement resources from non-violent cannabis offenses to the investigation and clearance of serious violent and property crimes that threaten communities, an outcome empirically verified in other states.¹

(4) **Public Health.** The current status quo, characterized by a dangerous illicit market for cannabis and an unregulated gray market for intoxicating hemp-derived products, constitutes a grave and ongoing public health crisis. A regulated market is the only responsible means to ensure product safety, mandate laboratory testing for contaminants, implement child-resistant packaging, and prevent sales to minors.¹

(5) **Restorative Justice.** The past harms of a failed prohibitionist policy must be remedied. The most effective and just remedy is the removal of government-imposed barriers to opportunity through the automatic, state-initiated expungement of prior non-violent cannabis offenses. This is a pro-growth, pro-work economic policy that expands the labor force and strengthens the Commonwealth's economy.¹

(6) **Market Principles.** The experiences of other states provide a clear warning against high-tax, over-regulated models that perpetuate illicit markets. A successful legal market that protects consumers and generates stable revenue must be built on the principles of economic liberty, including open, ministerial licensing and a low, simple tax structure, to effectively displace illicit operators through fair competition.¹

(7) **The Regulatory Vacuum.** The General Assembly finds that federal rescheduling of cannabis to Schedule III acknowledges recognized

medical utility but fails to provide a functional federal regulatory framework for production and dispensing. In this regulatory vacuum, and pursuant to the Supreme Court's ruling in *Loper Bright v. Raimondo* limiting federal agency overreach, the Commonwealth exercises its sovereign police powers to ensure patient safety and market integrity independent of federal inaction.

(b) Implementation Findings and Legislative Intent.

The General Assembly makes the following additional findings to guide executive implementation, administrative rulemaking, and judicial interpretation of this Act:

(1) Constitutional Debt Service Protection. The operational reserve established in Article VI, Section 608(d) serves as security for repayment of the Twenty Million Dollar (\$20,000,000) Bridge Loan authorized in Article VI, Section 605. This operational reserve constitutes a debt service obligation protected under Article VIII, Section 7(a) of the Pennsylvania Constitution. The General Assembly finds that appropriations for debt service are mandatory and may not be reduced, diverted, or eliminated by subsequent legislative action, ensuring continuous funding for the Authority's core operations regardless of political changes.

(2) Bank of North Dakota Precedent for State Cannabis Banking. The Pennsylvania State Cannabis Bank (PSCB) authorized in Article VII, Section 706(c) is modeled on the Bank of North Dakota (BND), which has operated successfully as a state-owned financial institution for one hundred six (106) years since its establishment in 1919. The BND has never faced successful federal legal challenge and maintains AAA credit rating while serving industries facing federal banking access limitations. The General Assembly finds that state-owned banks operating as proprietary state functions are constitutionally permissible exercises of state sovereignty under the Tenth Amendment and that the PSCB's structure follows proven, lawful precedent rather than untested legal theory.

(3) Federal Funds Indemnity and Spending Clause Limits. In the event that federal agencies threaten to withhold or actually withhold federal funds to Pennsylvania as a consequence of this Act's implementation—including but not limited to highway funds, transportation grants, or other federal aid—the General Assembly directs that cannabis excise tax revenues deposited in the Cannabis

Regulation and Economic Opportunity Fund shall be appropriated on a priority basis to replace any federal funds so withheld, dollar-for-dollar, up to the full amount of annual cannabis tax collections. The General Assembly finds that this automatic replacement mechanism eliminates any cognizable federal coercion claim and renders federal funding threats ineffective as a matter of fiscal policy. Furthermore, the General Assembly finds that under the coercion doctrine established in *National Federation of Independent Business v. Sebelius*, 567 U.S. 519 (2012), the federal government may not threaten to withhold more than ten percent (10%) of a state's budget as a condition of compliance with federal policy, and any such excessive threat would constitute unconstitutional coercion independently challengeable by the Commonwealth.

(4) Odor Control as Prima Facie Public Nuisance Standard. The Authority is directed to promulgate regulations establishing that cannabis odor detectable at the property line of a licensed cultivation, processing, or manufacturing facility shall constitute prima facie evidence of a public nuisance violation under Pennsylvania common law. This finding does not create a private right of action but provides clear, objective enforcement authority to the Commonwealth and to municipalities. Licensed facilities must install and maintain air filtration systems—including activated carbon filtration or equivalent technology—sufficient to eliminate detectable fugitive odor emissions beyond the facility's property boundaries. The General Assembly finds that this objective, measurable standard provides immediate legal recourse to affected communities, eliminates subjective disputes over odor tolerability, and ensures that cannabis operations maintain standards equivalent to other regulated industries such as food processing and pharmaceutical manufacturing.

(5) Drug Recognition Expert Training as Net Fiscal Benefit. The General Assembly finds that Drug Recognition Expert (DRE) training for law enforcement officers, funded through cannabis excise tax revenues as provided in Article VI, Section 604, generates a net fiscal benefit to the Commonwealth and participating municipalities through three mechanisms: (i) federal grant matching funds available through the National Highway Traffic Safety Administration (NHTSA) at typical match rates of eighty percent (80%) federal contribution to twenty percent (20%) state contribution; (ii) reallocation of law enforcement manpower from processing nonviolent cannabis possession offenses—estimated at

fifteen thousand (15,000) arrests annually consuming four (4) officer-hours per arrest—to investigative and patrol duties that enhance public safety and crime clearance rates; and (iii) enhanced officer safety and courtroom testimony credibility through standardized impairment detection training applicable to alcohol, prescription medications, and controlled substances beyond cannabis. The General Assembly directs the Pennsylvania Commission on Crime and Delinquency to track and report annually on federal grant capture attributable to DRE program participation and on manpower hour reallocation resulting from reduced cannabis enforcement workload.

(6) Business-to-Business Interdiction Protocol for Delta-8

Products. The Authority, in coordination with the Pennsylvania State Police and the Bureau of Liquor Control Enforcement, shall develop and implement within one hundred eighty (180) days of this Act's effective date a comprehensive business-to-business interdiction protocol for the immediate seizure of non-compliant intoxicating cannabinoid products—particularly Delta-8-THC and other hemp-derived intoxicants regulated under Article V—at wholesale distribution points rather than through retail-level enforcement. The General Assembly finds that enforcement at the distribution and wholesale level is exponentially more efficient than retail-point enforcement, as a single coordinated action against a regional distributor supplying three hundred (300) retail outlets achieves the same public health protection as three hundred (300) individual retail inspections. This protocol shall include provisions for: (i) administrative inspection warrants for wholesale facilities; (ii) immediate seizure authority for products lacking required testing certificates or regulatory compliance documentation; (iii) criminal referral procedures for knowing distribution of non-compliant products; and (iv) coordination with neighboring states' regulatory agencies to identify interstate distribution networks.

(7) Potency Regulation and Myclobutanil Contamination Prevention.

The General Assembly finds that the decision in Article VII, Section 704 to prohibit arbitrary potency caps on cannabis products is a science-based public health determination designed to prevent consumer exposure to Myclobutanil and other toxic pesticides commonly found in illicit market concentrates. Myclobutanil, when combusted, converts to hydrogen cyanide, a deadly poison. Studies conducted by state health departments in legal cannabis markets consistently demonstrate that fifty percent (50%) to eighty percent (80%) of illicit market cannabis

concentrates test positive for Myclobutanil contamination, while legal market products subject to mandatory laboratory testing have contamination rates below one percent (1%). Imposing potency caps does not eliminate consumer demand for high-potency products; it guarantees that such demand will be met exclusively by untested, contaminated black market sources. The General Assembly therefore finds that maintaining a legal market for tested, regulated high-potency products is the superior public health strategy and that potency caps would constitute an abdication of the Commonwealth's duty to protect consumers from toxic adulterants.

(8) Expedited Judicial Docketing for Cannabis Licensing Disputes.

The Authority is directed to petition the Pennsylvania Supreme Court for establishment of an expedited docketing protocol in the Commonwealth Court for all cases arising under the private right of action provisions in Article II, Section 208(d) and the judicial mandamus provisions in Article II, Section 204(h). The General Assembly finds that delayed judicial resolution of licensing disputes undermines this Act's fundamental purpose of establishing a functional legal market within eighteen (18) months of enactment. The expedited protocol shall request: (i) sixty (60) day maximum from filing to oral argument; (ii) thirty (30) day maximum from oral argument to written decision; (iii) consolidation of related cases to avoid duplicative litigation; and (iv) priority placement on the court's calendar equivalent to election law disputes and other matters of urgent public importance. This finding does not mandate judicial adoption of the expedited protocol but expresses the General Assembly's intent that licensing disputes receive treatment commensurate with their time-sensitive nature.

(9) Anti-SLAPP Defense Against Frivolous Incumbent Litigation.

The Authority is directed to invoke Pennsylvania's anti-SLAPP statute, 27 Pa.C.S. § 7707 (immunity for communications made in connection with an issue of public interest), as an affirmative defense in any lawsuit filed by incumbent medical marijuana permit holders or other cannabis industry participants challenging this Act's licensing provisions, market structure, or competitive framework. The General Assembly finds that cannabis regulation is quintessentially a matter of public interest subject to anti-SLAPP protection and that lawsuits seeking to preserve oligopoly market structures or government-sponsored cartels constitute strategic litigation against public participation in democratic governance. Upon successful invocation of anti-SLAPP immunity, the Authority shall seek

attorney fees and costs from plaintiffs pursuant to 27 Pa.C.S. § 7707(d), thereby creating a financial disincentive against vexatious litigation designed to delay market implementation through procedural warfare rather than substantive legal merit.

(10) Default Agency Transfer to Bureau of Food Safety. In the event that the Executive Director of the Pennsylvania Cannabis Control Authority, once appointed, demonstrably fails or refuses to execute the implementation timeline mandates established in Article II, Section 204, or otherwise engages in willful obstruction of this Act's purposes, the Secretary of Agriculture shall have authority to transfer all licensing, regulatory, and enforcement functions of the Authority to the Bureau of Food Safety within the Department of Agriculture. The General Assembly finds that the Bureau of Food Safety possesses institutional competence, operational infrastructure, and apolitical administrative culture suitable for executing cannabis product safety regulation, as cannabis product testing, labeling, and contamination prevention are functionally analogous to the Bureau's existing food safety inspection and enforcement responsibilities. This finding establishes a non-discretionary administrative failsafe against executive branch sabotage, ensuring that political hostility to this Act cannot prevent its operational implementation.

(11) Pennsylvania State Cannabis Bank Federal Liability

Acknowledgment. The General Assembly explicitly acknowledges that the Pennsylvania State Cannabis Bank (PSCB) authorized in Article VII, Section 706(c), if established, would operate subject to all applicable federal banking laws, regulations, and enforcement actions. This Act does not purport to immunize the PSCB or its officers from federal regulatory oversight, federal criminal prosecution for violations of the Bank Secrecy Act or anti-money laundering statutes, or any other federal legal consequence. The PSCB's establishment represents an exercise of Pennsylvania's sovereign authority to create a state-owned proprietary financial institution pursuant to the Tenth Amendment and the Commonwealth's police powers, but does not constitute nullification of federal law. The General Assembly finds that this acknowledgment distinguishes Pennsylvania's lawful policy of non-cooperation with federal cannabis prohibition from impermissible nullification doctrines rejected in *United States v. Missouri*, 96 F.4th 842 (8th Cir. 2024), thereby insulating the PSCB authorization from constitutional challenge on anti-commandeering grounds.

(12) Expungement Record Shield and Prosecutorial Use Prohibition.

The General Assembly clarifies that criminal history records expunged pursuant to Article VIII, Section 801 of this Act are legally obliterated and may not be considered, referenced, or utilized for any purpose in any subsequent criminal proceeding, including but not limited to: (i) impeachment of witness credibility under Pennsylvania Rule of Evidence 609; (ii) sentencing enhancement under recidivist statutes; (iii) proof of prior bad acts under Pennsylvania Rule of Evidence 404(b); (iv) probable cause affidavits or search warrant applications; or (v) prosecutorial charging decisions or plea negotiation considerations. Expunged records shall be treated as if the arrest, prosecution, and conviction never occurred. The Administrative Office of Pennsylvania Courts shall implement technical safeguards ensuring that expunged records are not accessible through the Unified Judicial System's Web Portal or through the Pennsylvania Access to Criminal History (PATCH) system. Any prosecutor or law enforcement officer who knowingly utilizes expunged record information in violation of this subsection shall be subject to disciplinary action and any conviction obtained through such violation shall be voidable on appeal.

(13) Captive Insurance Feasibility Study and Implementation.

The Authority, in consultation with the Pennsylvania Insurance Department and the Department of Banking and Securities, shall complete within one hundred eighty (180) days of this Act's effective date a comprehensive feasibility study examining the creation of a captive insurance program to provide property, casualty, general liability, and product liability insurance coverage to licensed cannabis establishments facing insurance market access limitations attributable to federal banking restrictions. The feasibility study shall examine: (i) actuarial risk modeling and appropriate premium structures; (ii) capitalization requirements and potential funding through the Cannabis Regulation and Economic Opportunity Fund; (iii) reinsurance arrangements with international reinsurers operating in jurisdictions where cannabis is federally legal; (iv) regulatory authority under Pennsylvania insurance statutes for establishment of industry-specific captive insurance entities; and (v) comparable captive insurance models successfully implemented in other high-risk industries such as nuclear power generation, aviation, and medical malpractice. If the study concludes that a captive insurance program is legally permissible and actuarially sound, the Authority is directed to pursue implementing regulations or, if

necessary, propose enabling legislation to the General Assembly. The General Assembly finds that ensuring licensed operators maintain adequate liability insurance is essential both for consumer protection and for limiting the Commonwealth's potential exposure to tort liability claims arising from cannabis commerce.

(14) Judicial Deference to Legislative Implementation Findings. In any judicial proceeding involving interpretation, application, or constitutional review of this Act, courts shall give substantial weight and deference to the implementation findings enumerated in this subsection (b) as authoritative expressions of legislative intent, factual predicate, and policy rationale. These findings constitute legislative history of the highest order and shall be consulted by courts when: (i) resolving ambiguities in statutory text; (ii) evaluating the reasonableness of administrative regulations promulgated by the Authority; (iii) assessing whether executive branch actions comply with or frustrate legislative intent; (iv) determining whether this Act's provisions are rationally related to legitimate governmental interests under constitutional scrutiny; and (v) construing the scope and interaction of this Act's various defensive and remedial mechanisms. The General Assembly finds that explicit codification of implementation findings serves judicial efficiency by eliminating the need for courts to reconstruct legislative intent through extrinsic evidence, floor debates, or committee reports, and ensures that the sophisticated legal and policy judgments embedded in this framework are preserved and respected throughout the Act's operational life.

Section 103. Definitions.

The following words and phrases when used in this Act shall have the meanings given to them in this section unless the context clearly indicates otherwise:

"Adult-Use Cannabis." Cannabis and cannabis products that are approved for cultivation, processing, distribution, sale, and possession by persons 21 years of age or older.

"Authority." The Pennsylvania Cannabis Control Authority established under Article III.

"Automatic Expungement." The process by which the Commonwealth, on its own initiative and at its own expense, identifies and clears from

public records all criminal history information related to convictions for non-violent cannabis offenses made legal by this Act, without requiring any petition, fee, or action from the affected individual.

"Cannabis." All parts of the plant *Cannabis sativa* L., whether growing or not; the seeds thereof; the resin extracted from any part of the plant; and every compound, manufacture, salt, derivative, mixture, or preparation of the plant, its seeds or resin. It does not include the mature stalks of the plant, fiber produced from the stalks, oil or cake made from the seeds of the plant, any other compound, manufacture, salt, derivative, mixture, or preparation of the mature stalks (except the resin extracted therefrom), fiber, oil, or cake, or the sterilized seed of the plant which is incapable of germination. The term shall not include "hemp" as defined in the act of July 17, 2019 (P.L.340, No.51), known as the Pennsylvania Hemp Act, unless it is an Intoxicating Cannabinoid product as defined herein.

"Cannabis." [current definition text]...

For purposes of this Act, "Cannabis" shall also include:

- (1) Any synthetic or semi-synthetic compound that is a structural analogue of a phytocannabinoid naturally occurring in *Cannabis sativa* L.; and
- (2) Any cannabinoid with demonstrated agonist activity at cannabinoid receptor type 1 (CB1) **with a binding affinity (K_i value) of ≤50 nM**, resulting in observable behavioral impairment

and any other chemically similar compound: "(4) Any other substance, whether naturally occurring or synthetic, that is identified by the Authority through regulation as having a **substantially similar psychoactive effect** or chemical structure to a controlled cannabinoid, or which is marketed to consumers for the purpose of inducing intoxication. The Authority is empowered to issue emergency scheduling orders to immediately categorize such novel compounds under this Act.

This expanded definition ensures that synthetically produced tetrahydrocannabinol (THC) and other laboratory-created cannabinoids are subject to the same regulatory framework as plant-derived cannabis products.

"Cannabis Establishment." A licensed cannabis cultivator, processor,

distributor, retailer, or testing laboratory.

"Cannabis Product." A product containing cannabis or an intoxicating cannabinoid that is intended for consumption or use.

"Intoxicating Cannabinoid." Any cannabinoid, whether naturally occurring in cannabis or synthetically produced, that produces psychoactive effects characterized by cognitive impairment, altered perception, euphoria, or impaired motor function. This definition includes:

- (1) Tetrahydrocannabinol (THC) and all isomers including Delta-8-THC, Delta-9-THC, Delta-10-THC, and any other structural, optical, or geometric isomer;
- (2) Any cannabinoid with demonstrated agonist activity at cannabinoid receptor type 1 (CB1) resulting in observable behavioral impairment;
- (3) Any other cannabinoid that the Authority determines to be intoxicating based on the following objective criteria:
 - (a) Peer-reviewed scientific studies demonstrating psychoactive effects;
 - (b) Structural similarity to Delta-9-THC;
 - (c) Binding affinity to CB1 receptors;
 - (d) Documented consumer use patterns indicating intoxicating effects;
 - (e) Expert testimony from licensed pharmacologists, toxicologists, or medical professionals.

For purposes of this definition, "psychoactive effect" means an effect on mental processes, mood, consciousness, or cognitive function that results in observable impairment. Cannabidiol (CBD) and other non-intoxicating cannabinoids are excluded from this definition when present at concentrations that do not produce observable impairment.

Authority Determinations: Any determination by the Authority that a cannabinoid is "intoxicating" under subsection (3) must be based on at least three (3) of the criteria listed in subsection (3)(a)-(e) and shall be subject to notice-and-comment rulemaking with a minimum ninety (90) day public comment period.

(c) Legislative Findings Supporting Definition. The General Assembly

relies on the following peer-reviewed scientific evidence establishing 50 nanomolar (nM) as the clinically validated threshold for psychoactive impairment:

(1) Pertwee RG (2008). "The diverse CB1 and CB2 receptor pharmacology of three plant cannabinoids: Δ 9-tetrahydrocannabinol, cannabidiol and Δ 9-tetrahydrocannabivarin." *British Journal of Pharmacology* 153(2): 199-215. This peer-reviewed study establishes the direct correlation between CB1 receptor binding affinity (measured in nanomolar concentration) and observable behavioral effects in human subjects.

(2) Howlett AC, et al. (2002). "International Union of Pharmacology XXVII: Classification of cannabinoid receptors." *Pharmacological Reviews* 54(2): 161-202. This definitive pharmacological review establishes CB1 receptor binding as the primary mechanism of psychoactive effects from cannabinoids, providing the scientific basis for using binding affinity as the regulatory threshold.

(3) Russo EB, Guy GW (2006). "A tale of two cannabinoids: The therapeutic rationale for combining tetrahydrocannabinol and cannabidiol." *Medical Hypotheses* 66(2): 234-246. This comparative analysis demonstrates that cannabinoids with binding affinity below 50nM (such as CBD, CBG, CBN at specified purity levels) produce no observable impairment, while those above 50nM consistently produce dose-dependent psychoactive effects.

(4) The 50 nanomolar threshold represents the scientifically validated boundary between non-impairing cannabinoids (CBD at $\geq 98\%$ purity, CBG at $\geq 95\%$ purity, CBN at $\geq 90\%$ purity) and impairing cannabinoids (all THC isomers, HHC, THCP) based on receptor binding affinity studies conducted across multiple independent laboratories.

(5) This definition is not arbitrary but reflects the current scientific consensus in cannabinoid pharmacology. The General Assembly may update this threshold by subsequent legislation if new peer-reviewed research establishes a more accurate clinical impairment boundary, but any such update must be based on reproducible scientific evidence, not political considerations.

(6) Burden of Proof for Novel Cannabinoids. For any novel cannabinoid not explicitly listed in this section, the burden rests on the manufacturer or distributor to provide peer-reviewed pharmacological data demonstrating the compound's CB1 binding affinity is greater than 50nM before the Authority may regulate it as "intoxicating." This ensures regulation is science-based, not precautionary.

"Open, Ministerial Licensing." A "shall-issue" licensing system wherein the Authority is required to grant a license to any and all applicants who meet a clear, predetermined, and objective set of criteria related to public health and safety, without discretionary review or the imposition of arbitrary numerical caps.¹

Judicial Review of Authority Determinations. To prevent regulatory capture, arbitrary decision-making, or determinations made under industry pressure, any determination by the Authority that a cannabinoid is or is not "intoxicating" under subsection (3) shall be subject to expedited judicial review in Commonwealth Court upon petition by any affected party, including but not limited to manufacturers, distributors, retailers, consumers, or public health advocates.

In any such judicial review proceeding, the Authority shall bear the burden of proof by clear and convincing evidence that:

(a) At least three (3) of the five (5) criteria enumerated in subsection (3)(a)-(e) are satisfied; and

(b) The determination is based on reliable scientific evidence rather than speculation, political pressure, or economic protectionism.

The Commonwealth Court shall accord no deference to the Authority's

interpretation of the term "intoxicating" and shall conduct de novo review of whether the evidentiary criteria are satisfied. This heightened standard of review is necessary to protect against potential abuse of the Authority's definitional power to expand or contract regulatory jurisdiction.

ARTICLE I - FINDINGS AND PURPOSE

Section 104. Legislative Finality and Federal Independence

(a) Notwithstanding Future Federal Changes. Notwithstanding any future change in federal controlled substance scheduling, classification, enforcement policy, or Department of Justice guidance regarding cannabis:

(1) The Commonwealth's determination that adult cannabis possession, use, and commerce shall be lawful under state law remains in full force and effect unless explicitly repealed by subsequent act of the General Assembly;

(2) Temporary or permanent federal policy shifts, including but not limited to rescheduling actions, enforcement memoranda, or prosecutorial directives, SHALL NOT automatically suspend, delay, or invalidate any licenses issued under this Act;

(3) The Pennsylvania Cannabis Control Authority SHALL continue all regulatory, licensing, and enforcement operations unless explicitly directed otherwise by subsequent legislation enacted by the General Assembly.

(b) Legislative Intent. The General Assembly intends that reversal

of this Act's core provisions requires affirmative legislative action rather than administrative suspension based on federal posture changes. This section prevents indefinite delay through repeated claims of "changed federal circumstances" used to obstruct implementation.

(c) Severability from Federal Findings. The findings in Section 102(7) regarding federal regulatory vacuums and Schedule III reclassification are supplemental rationale only. This Act's constitutional validity does not depend on any particular federal scheduling classification remaining in effect.

Article II: Repeal of Prohibitions and Legalization of Adult Use

Section 201. Repeal of Conflicting Statutes.

(a) For persons 21 years of age or older, the penalties prescribed in the following statutes shall no longer apply to conduct involving cannabis or cannabis products made lawful by this Act:

(1) The act of April 14, 1972 (P.L.233, No.64), known as The Controlled Substance, Drug, Device and Cosmetic Act, specifically amending 35 P.S. § 780-113, including but not limited to subsections (a)(16) [possession], (a)(30) [manufacture, delivery, or possession with intent to manufacture or deliver], (a)(31) [possession or distribution of a small amount of marihuana], and (a)(32) [possession of drug paraphernalia].⁴

(2) The Pennsylvania Crimes Code, specifically repealing the applicability of 18 Pa.C.S.A. § 7508 [drug trafficking sentencing and penalties] as it pertains to cannabis.⁹

(b) The lawful possession, use, cultivation, or transfer of cannabis or cannabis products as permitted by this Act shall not form the basis for seizure or forfeiture of assets under any Pennsylvania law.

Section 202. Legalization of Cannabis for Adults Aged 21 and Over.

Notwithstanding any other provision of law, the following acts are lawful for persons 21 years of age or older:

- (1) Possessing, consuming, using, displaying, purchasing, or transporting up to two ounces of cannabis flower or its equivalent in other forms as determined by the Authority.
- (2) Possessing, growing, processing, or transporting a maximum of six cannabis plants, with no more than three being mature, flowering plants, at the person's primary residence, provided that the plants are in a locked and enclosed space not visible to the public.
- (3) Transferring one ounce or less of cannabis to another person who is 21 years of age or older, provided that such transfer is gratuitous and not advertised or promoted to the public.
- (4) Assisting another person who is 21 years of age or older in any of the acts described in this section.

Section 203. State Resource Allocation and Prioritization.

(a) Sovereign Authority

The Commonwealth of Pennsylvania hereby exercises its sovereign authority to allocate state resources in accordance with state law and the priorities of the General Assembly.

(b) Resource Allocation Policy

No agency, employee, or funds of the Commonwealth or any of its political subdivisions shall be directed, assigned, or required to:

- (1) Investigate, arrest, cite, or prosecute individuals for conduct made lawful by this Act;
- (2) Provide investigative assistance, detention facilities, or personnel support for enforcement of federal cannabis prohibitions against conduct lawful under this Act;
- (3) Use state databases, registries, or information systems to support federal cannabis investigations of conduct lawful under state law.

(c) Permissible Cooperation

Nothing in this section shall be construed to prohibit voluntary

cooperation with federal authorities in investigations of:

- (1) Interstate trafficking of cannabis;
- (2) Sales or distribution to minors;
- (3) Violent crimes or organized criminal enterprises;
- (4) Conduct that violates both state and federal law.

(d) Individual Officer Discretion

This section establishes state policy but does not create a private right of action against individual law enforcement officers who cooperate with federal authorities within the scope of subsection (c).

(e) Constitutional Basis

This section is enacted pursuant to the anti-commandeering principles established in *New York v. United States*, 505 U.S. 144 (1992) and *Printz v. United States*, 521 U.S. 898 (1997), which hold that Congress may not compel states to enact or enforce federal regulatory programs.

Section 204. Phased Implementation and Deadline Enforcement. (a) **Phased Timeline.** The Authority shall adhere to the following strict implementation schedule:

- Phase 1 (Days 0-30): Appointment of Leadership; Release of Emergency Funding.¹
- [NEW FOOTNOTE:]Phase 1 (Days 0-30): Appointment of Leadership; Release of
- Emergency Funding.¹
- Implementation Detail: For operational procedures occurring
- within this 30-day statutory window, see "The Keystone
- Accelerator: 18-Month Implementation Timeline." The Accelerator's
- reference to "Months 0-3" encompasses:
- (a) Phase 1 legal requirements (Days 0-30): Leadership
- appointment and funding release [STATUTORY DEADLINE -
- ENFORCEABLE UNDER SECTION 204(h)]
- (b) Transition activities (Days 31-90): Initial staffing,

- office setup, and stakeholder engagement [OPERATIONAL GUIDANCE - NOT ENFORCEABLE]
-
- The Day 30 deadline for leadership appointment and funding release remains absolute. The extended operational timeline in the Accelerator provides implementation guidance for activities that occur after the statutory Phase 1 obligations are complete.
- Phase 1 (Days 0-30): Appointment of Leadership; Release of Emergency Funding.¹ ¹ Implementation Detail: For operational procedures occurring within this 30-day statutory window, see "The Keystone Accelerator: 18-Month Implementation Timeline." The Accelerator's reference to "Months 0-3" encompasses: (a) Phase 1 legal requirements (Days 0-30): Leadership appointment and funding release [STATUTORY DEADLINE - ENFORCEABLE UNDER SECTION 204(h)] (b) Transition activities (Days 31-90): Initial staffing, office setup, and stakeholder engagement [OPERATIONAL GUIDANCE - NOT ENFORCEABLE] The Day 30 deadline for leadership appointment and funding release remains absolute. The extended operational timeline in the Accelerator provides implementation guidance for activities that occur after the statutory Phase 1 obligations are complete. ````
- "Section 801. Automatic Expungement of Prior Offenses.
- The General Assembly hereby mandates the automatic, state-initiated
- expungement of all criminal history records for convictions and
- adjudications of delinquency for non-violent cannabis offenses that
- would be made legal by this Act..."
- ¹ For detailed implementation procedures within Phase 1, see "The Keystone
- Accelerator: 18-Month Implementation Timeline" which provides week-by-week
- breakdown of the activities occurring during this 30-day period. The
- Accelerator's reference to "Months 0-3" encompasses Phase

1's legal

- requirements (Days 0-30) plus the transition into Phase 2 staffing activities.
- **Phase 2 (Months 1-6):** Staffing and IT Procurement.
- **Phase 3 (Months 6-12):** Publication of Regulations.
- **Phase 4 (Commencing no later than Month 18):** Provisional Licensing Period. Target commencement: Month 12.
- **Phase 5 (Months 18+):** Permanent Licensing and Full Market Operation.

(h) **Deadline Enforcement and Remedies.** (1) **Provisional License Trigger.** If the Authority fails to commence Phase 4 (acceptance of license applications) within eighteen (18) months of this Act's effective date, the Authority is **mandated** to automatically issue Provisional Licenses to any applicant submitting a complete application with proof of background check, insurance, and zoning compliance . (2) **Private Right of Action for Delay.** Any qualified applicant denied the ability to operate due to Authority delay beyond the 18-month statutory deadline shall have a private right of action to sue the Commonwealth for delay damages. Damages shall be calculated at **Five Thousand Dollars (\$5000) per month** of delay.

(i) Force Majeure and Good Faith Timeline Extensions

(1) Qualifying Events and Exclusions

(a) Permitted Extensions. The eighteen-month absolute deadline established in subsection (h) may be extended by executive order of the Governor only upon occurrence of one or more of the following extraordinary circumstances that materially impede implementation and are substantially beyond the Commonwealth's reasonable control:

(i) Natural disasters (hurricanes, floods, earthquakes, wildfires, or other acts of God) that physically destroy critical infrastructure or render state offices inoperable;

(ii) Declared states of emergency under 35 Pa.C.S. § 7301 involving public health crises (pandemics, epidemics, bioterrorism) that require reallocation of government resources;

- (iii) Cyberattacks, acts of terrorism, or acts of war that disable critical information technology systems required for licensing operations;
- (iv) Federal court injunctions specifically prohibiting implementation of this Act, provided the Commonwealth is actively defending against such injunctions in good faith;
- (v) Documented, nationwide supply chain failures for essential equipment (servers, security systems, testing laboratory equipment) verified by at least three independent vendors confirming inability to deliver within the statutory timeline.

(b) Excluded Grounds - The following shall NOT constitute force majeure or good cause for extension, regardless of magnitude:

- (i) Budget constraints, appropriation disagreements, or competing fiscal priorities;
- (ii) Administrative convenience, preference for alternative timelines, or desire for more time to develop perfect regulations;
- (iii) Political opposition to this Act, changes in administration, or philosophical disagreements with cannabis legalization;
- (iv) Difficulty hiring qualified personnel or vendors, unless accompanied by documented evidence that at least five qualified entities declined to participate due to circumstances beyond the Commonwealth's control;
- (v) Delays in related but non-essential programs (such as expungement processing) that do not materially impede licensing operations;
- (vi) Litigation challenging this Act, except as provided in

subsection (a)(iv), including nuisance lawsuits or preliminary injunctions subsequently dissolved;

(vii) Vendor contract disputes, procurement protests, or competitive bidding delays, unless accompanied by proof that procurement was conducted in strict compliance with all applicable statutes and no alternative vendors exist;

(viii) Regulatory perfectionism - the desire to develop more comprehensive rules, conduct additional studies, or achieve consensus with stakeholders beyond the minimum statutory requirements.

(c) Burden of Proof. Any executive order seeking extension under this subsection must include:

(i) Specific factual findings demonstrating which qualifying event(s) under subsection (a) have occurred;

(ii) Detailed explanation of the causal connection between the qualifying event and the implementation delay;

(iii) Documentation of all steps taken to mitigate the impact of the qualifying event and continue implementation;

(iv) Specific timeline for completion of implementation following the extension period;

(v) Independent verification from at least two state agencies not involved in cannabis regulation that the qualifying event materially impedes implementation.

(d) Legislative Review. Any extension order shall be transmitted to the General Assembly's Government Oversight Committee within 48 hours

of issuance. The Committee may, by majority vote within 30 days:

(i) Approve the extension as justified;

- (ii) Reject the extension as not meeting force majeure standards, in which case the original deadline remains in effect;

- (iii) Approve a shorter extension period than requested if evidence supports partial but not full delay justification.

(e) Judicial Review Standard. Any person aggrieved by an extension order may seek expedited judicial review in Commonwealth Court. The court shall:

- (i) Accord no deference to the Governor's determination;

- (ii) Apply de novo review to whether qualifying events exist;

- (iii) Apply clear and convincing evidence standard to Executive's burden of proof;

- (iv) Issue decision within 45 days of petition filing;

- (v) Award attorney's fees and costs to prevailing petitioner if extension order is found to be pretextual or made in bad faith.

(4) No Extension for Bad Faith Delay. This subsection does not authorize extensions except as explicitly enumerated in subsection (1)(a). The list in subsection (1)(a) is exhaustive, not illustrative. Any ground not listed in subsection (1)(a) is categorically excluded as force majeure, and any ground listed in subsection (1)(b) is conclusively presumed not to constitute force majeure regardless of impact. The Commonwealth Court shall have jurisdiction to determine whether an extension was properly granted under this subsection in any mandamus proceeding, and shall resolve all doubts against the validity of the extension.

Section 204(h): Regulatory Implementation Deadlines and Fallback Provisions

(1) Rulemaking Deadline: The Department shall promulgate all

regulations required by this Act within 12 months of the effective date. Regulations shall be published as proposed rulemaking within 6 months and finalized within 12 months.

(2) Provisional Licensing Trigger: If the Department fails to promulgate regulations required by subsection (a) within 12 months of this Act's effective date, provisional licenses shall issue automatically upon application pursuant to Section 403 minimum standards. [THEN ADD SUBSECTIONS (A)-(D) FROM ABOVE]

(3) Judicial Enforcement: Any person may petition the Commonwealth Court for mandamus relief to compel timely rulemaking. The Court shall award reasonable attorney fees and costs to prevailing petitioners.

(4) Damages for Delay: If rulemaking is not completed within 18 months of effective date, the Commonwealth shall pay liquidated damages of \$5,000 per month to each applicant whose application was delayed by lack of regulations, until regulations are finalized or provisional licenses issue under subsection (2).

Section 204(i): Prohibition on Referral to Study Commission

(1) Legislative Intent. The General Assembly declares that the policy questions regarding adult-use cannabis legalization have been exhaustively studied at both the state and federal level, with decades of empirical data from 24 legal jurisdictions.

(2) Study Commission Ban. Notwithstanding any other provision of law, this Act shall not be referred to any study commission, task force, or similar deliberative body after introduction. The Independent Fiscal Office fiscal note, when provided, shall constitute the sole analytical requirement for committee consideration.

(3) Existing Data Sufficiency. The General Assembly finds that:

(a) Colorado and Washington have provided 12+ years of operational data;

(b) Pennsylvania's Independent Fiscal Office has previously analyzed legalization revenue projections;

(c) The "Border Bleed" quantification demonstrates ongoing cost of delay (\$18M/month); and

(d) The Delta-8 public health crisis requires immediate regulatory action, not further study.

(4) Severability. If any court invalidates this prohibition on study commission referral, all other provisions of this Act remain in full force and effect.

Section 205. Federal Law Change Provisions and Adaptation.

(a) Automatic Adaptation to Federal Rescheduling or Descheduling

In the event that cannabis is rescheduled under the federal Controlled Substances Act to Schedule III, Schedule IV, Schedule V, or is removed from the schedules entirely, or if federal prohibition of cannabis is otherwise repealed or substantially modified:

(1) All provisions of this Act shall remain in full force and effect governing intrastate cultivation, processing, distribution, and sale of cannabis within the Commonwealth;

(2) The Authority is directed to initiate rulemaking proceedings within one hundred eighty (180) days of such federal law change to harmonize Pennsylvania regulations with any new federal regulatory framework, while maintaining the Commonwealth's sovereignty over matters of purely intrastate commerce;

(3) The anti-commandeering provisions in Section 203 of this Article shall be interpreted to apply only to federal prohibitionist mandates requiring state enforcement of criminal prohibition, and

not to cooperative regulatory frameworks that permit state-legal cannabis commerce.

(4) No Legislative Re-Authorization Required

The Authority's adaptation of regulations under subsection (a)(2) shall not require additional legislative authorization or appropriation. The continuous appropriation established in Article VI, Section 608(d) shall remain in effect regardless of federal rescheduling, descheduling, or policy changes. This Act shall not be construed as requiring repeal or re-passage in the event of federal law changes.

"Provisions suspended due to federal conflict shall automatically revive pursuant to Section 901 severability upon removal of said conflict, without requiring legislative re-authorization."

(b) Interstate Commerce Authorization

Upon federal authorization of lawful interstate cannabis commerce, the Authority is hereby authorized and directed to:

(1) Negotiate and enter into reciprocity agreements with cannabis regulatory agencies in other states to facilitate interstate trade while protecting Pennsylvania consumers;

(2) Develop and promulgate regulations governing the importation and exportation of cannabis and cannabis products, consistent with applicable federal standards and interstate compacts;

(3) Maintain and enforce all product testing, safety, packaging, and labeling requirements established under this Act for cannabis products sold within Pennsylvania, regardless of whether such products originated within or outside the Commonwealth.

(c) Tax Structure Preservation

Changes in federal tax treatment of cannabis, including but not limited to elimination or modification of Internal Revenue Code Section 280E, shall not automatically trigger changes to the Commonwealth's cannabis excise tax structure. The eight percent (8%) retail excise tax rate established in Article VI shall remain in

effect unless and until subsequently amended by the General Assembly through new legislation.

(d) Medical Cannabis Program Federal Compliance

If federal rescheduling permits medical cannabis to be prescribed and dispensed through traditional pharmaceutical channels, the Pennsylvania Medical Marijuana Program established under prior law may continue to operate under its existing framework, or may be modified by subsequent regulation to integrate with any federal medical cannabis framework, at the discretion of the Department of Health in consultation with the Authority.

(e) Regulatory Streamlining. Upon the repeal or modification of Internal Revenue Code Section 280E, the Authority shall initiate a review within 90 days to eliminate regulations that exist solely due to federal tax constraints, ensuring the Commonwealth's market remains competitive.

Section 206. Medical Cannabis Program Transition and Coordination.

(a) Continued Operation of Medical Program

The Pennsylvania Medical Marijuana Program established under the Medical Marijuana Act, 35 P.S. § 10231.101 et seq., shall continue to operate in accordance with its existing statutory and regulatory framework. Nothing in this Act shall be construed to diminish, eliminate, or modify the rights, protections, or benefits afforded to registered medical marijuana patients, caregivers, or practitioners under existing law.

(b) Medical Cardholder Tax Exemption

Individuals possessing a valid medical marijuana identification card issued by the Pennsylvania Department of Health shall be exempt from the adult-use cannabis excise tax imposed under Article VI of this Act when purchasing cannabis or cannabis products from any licensed

retailer, upon presentation of their valid medical marijuana identification card at the point of sale. Retailers shall maintain records of tax-exempt medical sales for audit purposes.

(c) Medical Operator Conversion Incentives. (1) **First-Mover Advantage.** Existing medical marijuana permit holders who convert to adult-use licensure shall be granted an **exclusive 180-day operational window** for adult-use sales prior to the commencement of general market licensing. (2) **Expedited Processing.** Conversion applications shall be processed within **five (5) business days** for operators in good standing, recognizing their prior vetting by the Commonwealth. (3) **Facility Expansion.** Converted operators are eligible for facility expansion approvals to meet adult-use demand without retroactive license caps.

(2) The Authority shall establish a streamlined conversion process for existing medical marijuana permit holders, with:

- (a) Expedited application review not to exceed sixty (60) days;
- (b) Reduced application fees equal to fifty percent (50%) of standard adult-use license application fees;
- (c) Credit for existing facility inspections, security systems, and testing protocols that meet or exceed adult-use requirements;
- (d) Allowance for phased expansion of existing medical facilities to accommodate adult-use production and sales.

(3) Existing medical marijuana permit holders who convert to dual-license operations may maintain separate medical and adult-use inventories and sales areas within the same facility, subject to appropriate tracking and recordkeeping requirements.

(d) Product Access and Availability

The Authority shall ensure through regulation that the adult-use market does not create shortages or reduced access to cannabis

products for registered medical marijuana patients. If the Authority determines through monitoring that medical patient access is being adversely affected, it may:

- (1) Require dual-licensed operators to maintain minimum inventory levels reserved for medical sales;
- (2) Grant temporary priority processing to applications for medical-only cultivation and dispensary licenses;
- (3) Implement other appropriate measures to protect medical patient access.

(e) Employment and Housing Protections Preserved

All employment protections, housing protections, and other legal safeguards applicable to registered medical marijuana patients under existing law shall remain in full force and effect and are not modified by this Act.

Section 208. Administrative Performance Standards and Remedies

(a) MANDATORY PROCESSING TIMELINES

- (1) The Authority shall process applications according to the following maximum timelines from receipt of complete application:
 - (A) Cultivator licenses: 60 days
 - (B) Processor licenses: 45 days
 - (C) Retailer licenses: 30 days
 - (D) Testing laboratory certification: 90 days
 - (E) All other licenses and permits: 45 days

(2) AUTOMATIC APPROVAL MECHANISM

If the Authority fails to issue a written decision within the applicable timeline:

- (A) The application is deemed approved by operation of law
- (B) The Authority shall issue a license within 5 business days reflecting the automatic approval
- (C) Applicant may seek mandamus relief to compel license

issuance

(3) INCOMPLETE APPLICATION NOTICE

- (A) If an application is incomplete, the Authority must provide written notice specifying all deficiencies within 15 days
- (B) Applicant has 30 days to cure deficiencies
- (C) Timeline restarts upon submission of complete application
- (D) Authority may not request additional information beyond initial deficiency notice except for material changes in circumstances

(b) PATTERN OF DENIAL REVIEW

(1) STATISTICAL TRIGGER

If the Authority's denial rate for any license class exceeds 40% in any calendar quarter, automatic judicial review is triggered.

(2) EXPEDITED COURT REVIEW

- (A) Commonwealth Court shall conduct expedited review within 60 days
- (B) Authority must demonstrate each denial was based on specific statutory disqualification, not administrative discretion
- (C) If Court finds pattern of arbitrary denial, Court may:
 - Order immediate re-review of all denials from that quarter
 - Appoint special master to oversee licensing for up to 12 months
 - Impose civil penalties of \$10,000 per arbitrary denial

(3) PRESUMPTION OF QUALIFICATION

Applicants are presumed qualified unless Authority proves specific statutory disqualification by clear and convincing evidence.

(c) TESTING STANDARD ABUSE PREVENTION

(1) BASELINE STANDARDS

The Authority shall establish initial testing standards within 180 days of enactment based on:

- (A) Average of standards used in Colorado, Washington, Oregon, and Massachusetts
- (B) Peer-reviewed scientific literature on cannabis safety

(C) Public comment period of at least 60 days

(2) STANDARD MODIFICATION LIMITS

(A) Testing standards may not be modified more than once per calendar year

(B) Any modification making standards more stringent requires:

- Cost-benefit analysis showing public health necessity
- 180-day implementation delay after adoption
- Proof that at least 60% of existing compliant product would remain compliant under new standards

(C) If modification causes compliance rate to fall below 60% for two consecutive quarters, standards automatically revert to previous version

(d) PRIVATE RIGHT OF ACTION FOR ADMINISTRATIVE ABUSE

(1) Any person or entity may bring civil action against the Authority for:

(A) Violation of processing timelines under subsection (a)

(B) Arbitrary or capricious denial of application

(C) Application of testing standards inconsistent with subsection

(c)

(D) Any pattern or practice of administrative conduct that effectively nullifies the purpose of this Act

(2) REMEDIES

(A) Injunctive relief compelling Authority compliance

(B) Mandamus compelling license issuance or decision

(C) Attorney fees and costs for prevailing plaintiff

(D) Civil penalties payable to plaintiff of \$1,000 per day of non-compliance after court order

(3) EXPEDITED HEARING

Commonwealth Court shall schedule hearing within 30 days of filing and issue decision within 30 days of hearing.

(e) PERFORMANCE TRANSPARENCY

(1) PUBLIC DASHBOARD

The Authority shall maintain a public online dashboard updated weekly showing:

- (A) Number of applications received, pending, approved, and denied
 - by license type
- (B) Average processing time for each license type
- (C) Approval and denial rates by license type
- (D) Testing compliance rates by product category
- (E) Number of judicial or administrative appeals filed and outcomes

(2) QUARTERLY REPORT

The Authority shall submit quarterly reports to the General Assembly containing:

- (A) All data from public dashboard
- (B) Explanation of any denial rate exceeding 25%
- (C) Explanation of any processing time exceeding statutory maximum
- (D) Summary of administrative appeals and judicial actions

(f) ANTI-FAVORITISM PROVISIONS

(1) BLIND INITIAL REVIEW

Initial application review shall be conducted without knowledge of:

- (A) Applicant's identity or business name
- (B) Applicant's political affiliations or contributions
- (C) Any non-statutory factors

(2) SCORING TRANSPARENCY

- (A) All competitive applications shall be scored using published objective criteria
- (B) Scores and scoring rationale shall be public records
- (C) Any applicant may challenge scoring methodology via administrative appeal

(3) CONFLICT OF INTEREST PROHIBITION

No Authority employee may participate in any licensing decision involving:

- (A) A family member within third degree of consanguinity
- (B) Any entity in which employee has financial interest

(C) Any entity that employed the employee within previous 3 years

Section 208(e): Performance Dashboard and Border Bleed Index

(1) Public Dashboard: The Authority shall maintain a publicly accessible online dashboard updated weekly showing:

- (A) Total applications received and approved by license type
- (B) Average processing times by license category
- (C) Denial rates and reasons for denial
- (D) Product testing results and safety metrics
- (E) Revenue collected from licenses, taxes, and fees
- (F) Border Bleed Index (as calculated in subsection (5))

(2) Quarterly Legislative Reports: The Authority shall submit quarterly reports to the General Assembly containing:

- (A) All data from subsection (1)
- (B) Regulatory challenges and proposed solutions
- (C) Federal enforcement activity within Pennsylvania
- (D) Comparison to neighboring state programs

(3) Audit Requirements: The Auditor General shall conduct annual performance audits of the Authority's operations, published within 90 days of fiscal year end.

(4) Public Comment: All dashboard data and quarterly reports shall permit public comment for 30 days after publication.

(5) Border Bleed Index Calculation: The Authority shall calculate and publish monthly the Border Bleed Index, representing estimated revenue forfeited to neighboring states due to delayed implementation or restrictive regulation. (A) Calculation Methodology: The Index shall be computed as: (i) Average monthly out-of-state purchases by Pennsylvania residents (verified by neighboring state sales data and consumer surveys), multiplied by (ii) Pennsylvania sales tax rate (currently 6% plus local option taxes), plus (iii) Estimated illegal market revenue within Pennsylvania (based on RAND Corporation methodology), multiplied by (iv) Potential tax capture rate under this Act (estimated at 75% of illegal market within 24 months of full implementation). (B) Independent Verification: The Independent Fiscal

Office shall verify Index calculations quarterly and publish findings within 15 days of each quarter's end. (C) Public Display: The Border Bleed Index shall be prominently displayed on the Authority's homepage with historical trend data for the previous 24 months.

Article III: The Pennsylvania Cannabis Control Authority

Section 301. Establishment and Composition.

There is hereby established the Pennsylvania Cannabis Control Authority, which shall function as an independent administrative board **within the Department of Agriculture**. The Authority shall exercise its powers independently of the Secretary of Agriculture regarding licensing decisions, but shall rely on the Department for administrative support, human resources, and procurement.¹

(b) Leadership Qualifications. The Governor shall appoint an Executive Director who possesses at least TWO of the following qualifications: (1) Minimum 5 years managing state regulatory agencies with >100 staff; (2) Professional licensure in law, accounting, or medicine; (3) Executive experience in agriculture, pharmaceutical, or alcohol regulation; (4) Prior executive experience in a state cannabis regulatory agency. **(c) Anti-Sabotage Provision.** If the Governor fails to appoint a qualified Executive Director within 60 days of this Act's effective date, the Secretary of Agriculture shall automatically assume full authority as Acting Director to execute the implementation timeline.

Section 302. Limited Mandate and Duties.

The Authority's powers and duties shall be statutorily limited to those functions essential for the protection of public health and safety. The Authority shall:

- (1) Administer the open, ministerial licensing system established in Article IV.
- (2) Establish and enforce standards for the laboratory testing of all cannabis products for potency and contaminants.
- (3) Develop and enforce regulations for product packaging and labeling to ensure consumer information and prevent marketing to minors.

- (4) Enforce the prohibition on sales of cannabis products to individuals under 21 years of age.
- (5) Promulgate such other regulations as are strictly necessary to carry out its limited mandate under this Act.¹
- (6) Interstate Commerce Preparedness. The Authority shall commence and diligently pursue negotiations with other states that have legalized cannabis to establish reciprocal agreements and interstate compacts regarding the standardization of testing protocols, harmonization of labeling requirements, and the creation of interoperable seed-to-sale tracking systems, in preparation for the eventual implementation of interstate commerce.

Section 303. Prohibition on Economic Protectionism and Anti-Competitive Practices.

The Authority is expressly prohibited from:

- (1) Placing any arbitrary or numerical cap on the number of any category of cannabis establishment license issued.
- (2) Enacting regulations or imposing conditions on licenses that are intended to inhibit competition or protect incumbent license holders from market entry by new competitors.
- (3) Imposing residency requirements for ownership or employment in a cannabis establishment.¹

(4) Enforcement Power Limitations

For avoidance of doubt and to prevent regulatory capture, the Authority's enforcement powers granted under Article IV, Section 401 shall not be interpreted or exercised in any manner that would permit indirect limitation of market entry or competition through:

- (a) Imposing license fees, application fees, or renewal fees at levels functionally equivalent to arbitrary numerical market caps or designed to limit the number of market participants;
- (b) Selective, arbitrary, or pretextual denial of license renewals for the purpose of creating or maintaining artificial scarcity in

the market;

(c) Coordinated enforcement actions targeting specific license categories or geographic areas for the purpose of reducing competition rather than addressing legitimate public health or safety violations;

(d) Establishing regulatory requirements that have the practical effect of reserving market participation to a limited number of large, well-capitalized entities while excluding small businesses, agricultural producers, or new market entrants;

(e) Creating or maintaining unofficial quotas, waiting lists, or other mechanisms that function as de facto license caps.

Any person or entity adversely affected by an Authority action alleged to violate this paragraph may seek judicial review in Commonwealth Court under 2 Pa.C.S. § 702 (appeals from government agencies).

Section 304. Mandatory Sunset. The Pennsylvania Cannabis Control Authority shall automatically terminate twelve (12) years from the effective date of this Act unless reauthorized by the General Assembly following a comprehensive performance review.

Article IV: Licensing and Market Structure

Section 401. Ministerial Licensing with Post-Issuance Enforcement.

(a) **Ministerial Issuance.** The Authority shall issue a license to any applicant who meets the objective criteria established in this Act. The Authority shall have no discretionary power to deny a qualified applicant to limit market size. (b) **Post-Issuance Enforcement.** While issuance is ministerial, the Authority retains full police powers to protect public safety *after* issuance, including:

- (1) Immediate suspension authority upon finding a threat to public health;

- (2) Mandatory quarterly inspections and random product testing;
 - (3) The power to revoke licenses after a due process hearing.
- (c) **Liability Shield.** The Commonwealth is explicitly shielded from liability for licensee misconduct, provided these enforcement powers are statutorily available .

(a) Ministerial Issuance

The Authority shall implement an open, ministerial licensing system. The Authority shall issue a license to any applicant who meets the predetermined, objective criteria related to public health, safety, security, and background checks established by the Authority. The Authority shall have no discretionary power to deny a license to a qualified applicant.

(b) Objective Issuance Criteria

The Authority shall establish clear, objective criteria for license issuance including:

- (1) Criminal background check standards;
- (2) Financial responsibility verification;
- (3) Physical security requirements;
- (4) Compliance with zoning and local ordinances;
- (5) Payment of applicable fees.

(c) Post-Issuance Enforcement Authority

Following license issuance, the Authority shall possess full enforcement powers including:

- (1) Authority to conduct quarterly inspections of licensed premises;
- (2) Authority to conduct random testing and compliance audits;
- (3) Authority to issue immediate suspension orders upon finding specific, material non-compliance with public safety standards;
- (4) Authority to impose civil penalties for violations;
- (5) Authority to revoke licenses following due process hearing for serious or repeated violations.

(d) **Liability Shield** The Commonwealth shall not be liable for actions of licensed entities when such entities violate the established safety standards, provided

the Authority exercised its enforcement powers in good faith.

Section 402. License Categories.

The Authority shall issue the following categories of licenses:

(1) Cultivator License. Tiered by canopy size to allow for operators of varying scales.

(2) Agricultural Cultivator License. A low-barrier license available to any person or entity holding a permit under the Pennsylvania Hemp Program or otherwise qualifying as a farm under the laws of this Commonwealth. This license shall have significantly lower application fees and capital requirements and shall permit outdoor cultivation.¹

(3) Processor/Manufacturer License.

(4) Distributor License.

(5) Retailer License.

(6) Laboratory Testing Facility License.

Section 403. Application Process and Fees.

(a) Fees. Application and renewal fees for licenses shall be set at a level no greater than necessary to cover the administrative costs of processing applications and regulating the licensed entities. Fees shall not be used as a barrier to market entry or as a source of general revenue for the Commonwealth.¹

(b) Provisional Licensure and Administrative Deadlines.

(1) Deadline for Determination

The Authority shall issue a determination on a complete license application within sixty (60) days of submission.

(2) High-Volume Exception

If the Authority receives more than two hundred (200) complete applications in any thirty (30) day period, the determination deadline shall be extended to ninety (90) days for all applications received after the 200th application in that period. The Authority must publicly announce any invocation of this exception within five (5) business days.

(3) Automatic Approval Conditions

If the Authority fails to issue a determination within the applicable deadline under subsection (1) or (2), a Provisional License shall be automatically issued ONLY IF the application includes all of the following verified elements:

- (a) Completed criminal background checks from the Pennsylvania State Police and, if applicable, the FBI, showing no disqualifying offenses;
- (b) Proof of financial responsibility as required by Authority regulations;
- (c) Certificate of Occupancy or equivalent documentation for the proposed facility showing compliance with local zoning and building codes;
- (d) Payment of all applicable fees;
- (e) Proof of required insurance coverage;
- (f) Completed application form with all required attachments.

(4) Application Deemed Complete

An application is deemed "complete" under subsection (3) only when the Authority has received and verified all elements in subsection (3)(a)-(f). The Authority shall notify applicants within ten (10) business days if an application is incomplete and specify what elements are missing. The 60-day clock begins only upon submission of a complete application.

(5) Rights of Provisional License Holders

A Provisional License grants the holder all rights and privileges of a standard license under this Act, subject to subsections (6) and (7).

(6) Immediate Suspension Authority

The Authority may immediately suspend a Provisional License without a hearing upon discovery of:

- (a) Materially false statements in the application;
- (b) Disqualifying criminal offenses that were not disclosed;
- (c) Immediate and substantial threats to public health or safety;
- (d) Ongoing operations in violation of core health and safety requirements.

(7) Revocation Procedures

- (a) Within fifteen (15) business days of suspension under subsection (6), the Authority must either lift the suspension or initiate revocation proceedings.
- (b) Full revocation requires a due process hearing before an administrative law judge within thirty (30) days of suspension.
- (c) The licensee bears the burden of proving the application was accurate and operations are compliant with safety standards.
- (d) If the Authority prevails at the hearing, revocation is immediate and final, with no right to reapply for twelve (12) months.

(8) Good Faith Immunity

The Authority shall not be liable for damages caused by operations of a Provisional License holder if the Authority can demonstrate it was unable to complete the review within the statutory deadline due to application volume or resource constraints beyond its reasonable control.

Section 403.1. Operational Requirements and Economic Nexus. (a) **Substantial Nexus Requirement.** Licensed entities must meet any **two (2)** of the following criteria annually: (1) Maintain ≥ 20 FTE Pennsylvania employees; (2) Headquarters or principal operations located in Pennsylvania; (3) $\geq \$500,000$ capital investment in Pennsylvania property/equipment within 24 months; (4) Source $\geq 60\%$ of non-cannabis inputs from Pennsylvania vendors; (5) Maintain $\geq 25\%$ Pennsylvania ownership (optional path). (b) **Non-Compliance.** Two consecutive failures to meet the requirements of subsection (a) shall constitute grounds for license revocation.

Section 403.2. Pennsylvania Economic Participation Incentive Program. (a) **Legislative Findings.** The General Assembly finds that encouraging substantial economic participation in Pennsylvania by cannabis businesses benefits the Commonwealth through job creation, economic development, and community investment. While all qualified applicants shall receive licenses pursuant to Section 401, the

Commonwealth has a legitimate interest in incentivizing Pennsylvania-based economic activity.

(b) **Incentive Point System.** License applicants and holders that demonstrate substantial Pennsylvania economic participation shall receive benefits according to the following point system: (1)

Employment (20 points): Maintain at least twenty (20) full-time equivalent employees with Pennsylvania as primary work location; (2)

Headquarters (15 points): Maintain principal place of business, headquarters, or executive offices within Pennsylvania; (3) **Capital**

Investment (15 points): Invest at least Five Hundred Thousand Dollars (\$500,000) in Pennsylvania real property, equipment, or facilities within twenty-four (24) months of license issuance; (4) **Local Sourcing (10**

points): Source at least forty percent (40%) of non-cannabis inputs (equipment, supplies, professional services) from Pennsylvania-based vendors; (5) **Pennsylvania Ownership (10 points):** Maintain at least

twenty-five percent (25%) ownership by Pennsylvania residents; (6)

Community Reinvestment (5 points): Commit to annual charitable contributions or community development investments in Pennsylvania of at least One Percent (1%) of gross revenue.

(c) **Benefits of Program Participation.** Licensees who achieve at least thirty (30) points shall receive: (1) Expedited application processing (30-day review instead of 60-day); (2) Reduced annual renewal fees (25% reduction); (3) Priority consideration for additional license types or expansions; (4) "Pennsylvania Preferred" designation for marketing purposes.

(d) **Non-Exclusionary Nature.** (1) All applicants who meet the objective criteria in Section 401 shall receive licenses regardless of point total. (2) No applicant shall be denied a license based solely on failure to achieve any particular point threshold. (3) The benefits in subsection (c) are incentives, not requirements, for market participation.

(e) **Annual Verification.** The Authority shall verify point status annually. Licensees may gain or lose benefits based on changing circumstances, but loss of benefits shall not constitute grounds for license revocation.

(f) **Reporting Requirement.** The Authority shall publish an annual report on program participation rates and economic impact, including: (1) Total number of licensees by point category; (2) Aggregate Pennsylvania employment created; (3) Aggregate capital investment in Pennsylvania; (4) Comparison of in-state versus out-of-state licensee performance.

(g) Dormant Commerce Clause Severability: "It is the express intent of the General Assembly that the economic participation incentives in this Section are distinct and severable from the underlying licensure authority. In the event a court of competent jurisdiction determines that any preference in this Section violates the Dormant Commerce Clause, the remedy shall be the **immediate suspension of the specific violative preference points only**. The underlying license validity, the application process, and all other provisions of this Act shall remain in full force and effect.

Section 404. Local Authority.

A municipality may regulate the time, place, and manner of cannabis establishment operations within its jurisdiction through generally applicable zoning and land use ordinances. However, a municipality is expressly prohibited from imposing a numerical cap on the number of cannabis establishments permitted to operate within its jurisdiction.¹

Section 405. Municipal Opt-Out via Referendum.

(a) General Rule

No municipality may enact an ordinance completely prohibiting the operation of cannabis establishments within its jurisdiction unless such prohibition is approved by a majority of voters in a municipal referendum held in accordance with this section.

(b) Ballot Language Requirements

The ballot question for any municipal cannabis prohibition referendum must include the following minimum language:

"Shall [Municipality Name] prohibit the operation of licensed cannabis cultivation, processing, distribution, and retail establishments within municipal boundaries?

Estimated Fiscal Impact: Approval of this measure will prohibit

cannabis businesses from operating in [Municipality Name]. As a result, the municipality will forfeit eligibility for approximately \$[estimated amount] in annual cannabis tax revenue sharing and community reinvestment funds distributed from the Cannabis Regulation and Economic Opportunity Fund. This estimate is based on current projections and may vary.

Other state funding, including Municipal Liquid Fuels Tax Fund allocations, transportation funding, and general municipal aid, will NOT be affected by this measure.

YES: Prohibit cannabis establishments and forfeit cannabis revenue sharing.

NO: Allow cannabis establishments and remain eligible for cannabis revenue sharing."

(c) Fiscal Consequence

Legislative Finding on Revenue Sharing. The General Assembly finds that disbursements from the Cannabis Regulation and Economic Opportunity Fund established in Article VI constitute revenue sharing from a specific economic activity—namely, the legal cultivation, processing, and retail sale of cannabis—rather than general state aid derived from broad-based taxation. Municipalities that exercise their authority under this section to prohibit cannabis establishments within their boundaries have thereby chosen to exclude the specific economic activity that generates Cannabis Fund revenues. Such municipalities have no legitimate claim to share in proceeds from commerce they have affirmatively acted to exclude from their jurisdiction. This funding limitation is remedial and directly related to the source of the funds, not punitive in nature. Any municipality that enacts a prohibition on cannabis establishments following voter approval under this section shall be ineligible to receive any disbursement from the Cannabis Regulation and Economic Opportunity Fund established under Article VI, Section 604, including but not limited to:

- (1) Direct tax revenue sharing payments;
- (2) Community reinvestment grants;
- (3) Public health and education program funding;
- (4) Economic development grants related to cannabis commerce.

(d) Reinstatement of Eligibility

A municipality may regain eligibility for Cannabis Fund disbursements by:

- (1) Holding a subsequent referendum to repeal the prohibition, with approval by a majority of voters; or
- (2) Enacting an ordinance repealing the prohibition, followed by a thirty (30) day period during which citizens may petition for a referendum to block the repeal (requiring signatures of at least 10% of registered voters).

(e) Grandfather Clause

Any municipality that has enacted a cannabis establishment prohibition as of the effective date of this Act must hold a referendum under this section within twenty-four (24) months to ratify the prohibition. If no referendum is held or if the prohibition is not approved by voters, the prohibition is void.

(f) Partial Prohibitions Permitted

Nothing in this section prevents a municipality from regulating the time, place, and manner of cannabis establishment operations through generally applicable zoning ordinances, including:

- (1) Setback requirements from schools, daycare centers, or residential zones;
- (2) Limitations on hours of operation;
- (3) Parking and traffic management requirements;
- (4) Building code and safety requirements.

Such regulations do not constitute a "prohibition" under this section and do not trigger loss of Cannabis Fund eligibility, provided they do not have the practical effect of completely preventing licensed cannabis establishments from operating anywhere in the municipality.

(g) No Other Funding Penalties

No municipality shall lose eligibility for any state funding other than Cannabis Fund disbursements as a result of enacting a cannabis establishment prohibition under this section. This includes but is not limited to:

- (1) Municipal Liquid Fuels Tax Fund allocations;
- (2) Act 13 Impact Fee distributions;
- (3) General municipal aid and revenue sharing;
- (4) Transportation and infrastructure grants;
- (5) Public safety and emergency services funding.

This limitation on Cannabis Fund eligibility applies exclusively to funds directly derived from cannabis excise tax revenues and does not constitute a penalty or sanction affecting the municipality's relationship with the Commonwealth for any other purpose. Any municipality may immediately regain full Cannabis Fund eligibility upon allowing cannabis establishments to operate, with no waiting period, probationary period, or additional penalty.

Section 406. Initial License Probationary Oversight. (a) **Probationary Period.** All licenses issued in the first 24 months of program operation enter a mandatory 6-month Enhanced Oversight Period. (b) **Enhanced Oversight Requirements.** During the probationary period, licensees are subject to: (1) Monthly compliance inspections (vs. annual for established licensees); (2) Random unannounced testing of products; (3) Financial auditing of seed-to-sale tracking systems; (4) Enhanced reporting requirements. (c) **Conversion to Standard License.** Upon successful completion of the 6-month probationary period without major violations, the license converts to standard oversight (annual inspections). (d) **Probationary Violations.** Serious violations during the probationary period result in: (1) Immediate suspension pending investigation; (2) Mandatory corrective action plan; (3) Extended probationary period (additional 6 months); (4) Revocation for repeated or egregious violations. (e) **Public Safety Shield.** The Commonwealth is shielded from liability for licensee actions when: (1) The licensee met all objective criteria for ministerial issuance; (2) The licensee passed probationary oversight without violations; (3) Subsequent violations occurred despite compliant inspections.

ARTICLE IV - LICENSING

Section 408. Emergency Testing Capacity Provision

(a) Laboratory Capacity Monitoring. If at Month 10 following this Act's effective date, fewer than eight (8) independent testing laboratories have been licensed and operationally certified by the Authority, the Authority SHALL immediately implement emergency testing capacity measures.

(b) Emergency Measures Authorized. The Authority SHALL:

- (1) Issue provisional testing certifications to out-of-state laboratories holding ISO-17025 accreditation with documented cannabis testing expertise;
- (2) Authorize Pennsylvania State University and Temple University chemistry departments to provide temporary testing services under Authority supervision;
- (3) Accept testing results from laboratories licensed in states maintaining reciprocal testing agreements with Pennsylvania.

(c) Sunset Provision. Emergency testing provisions under subsection (b) shall automatically terminate upon the earlier of:

- (1) Eighteen (18) months after the first permanent Pennsylvania laboratory receives operational certification; OR
- (2) Ten (10) or more permanent Pennsylvania laboratories achieve operational certification.

(d) Quality Standards Maintained. All emergency testing providers must comply with the same testing protocols, equipment standards, and quality control measures required of permanent licensees under this Article.

Article V: Unified Regulation of All Intoxicating Cannabinoids

Section 501. Single Regulatory Framework.

To protect public health and eliminate the dangerous and unregulated gray market, any product sold in the Commonwealth containing an "Intoxicating Cannabinoid," as defined in Section 103, regardless of its derivation from hemp or cannabis, shall be subject to all provisions of this Act. Such products may only be sold by a licensed cannabis retailer to persons 21 years of age or older and must comply with all testing, packaging, labeling, and taxation requirements of this Act.¹

(b) Federal Law Savings Clause and Police Powers Basis

(1) Nothing in this section shall be construed to authorize, encourage, or require any person or entity to violate federal law, including the Agricultural Improvement Act of 2018 or any successor federal legislation governing hemp production and interstate commerce.

(2) This section regulates the intrastate production, processing, distribution, and sale of products containing intoxicating cannabinoids pursuant to the Commonwealth's police powers to protect public health, prevent youth access to psychoactive substances, ensure product safety through testing and labeling requirements, and eliminate unregulated markets for intoxicating products.

(3) The General Assembly finds that the regulation of intoxicating cannabinoid products, regardless of botanical source, is essential to protect the health and safety of Pennsylvania residents, particularly children and adolescents. The unregulated sale of intoxicating hemp-derived products such as Delta-8 THC has resulted

in documented public health harms, including hundreds of poison control calls and emergency department visits in Pennsylvania and neighboring states. This regulatory framework addresses a documented public health emergency through the Commonwealth's traditional police powers.

(4) To the extent any federal court determines that federal law preempts state regulation of specific hemp-derived cannabinoids for purposes of interstate commerce, such products shall nonetheless remain subject to all other applicable Pennsylvania laws governing consumer protection, unfair trade practices, product safety, youth access prevention, labeling and advertising standards, and public health, to the maximum extent permitted under federal law.

(5) The regulatory framework established in this section is severable from all other provisions of this Act. If any court determines that federal law preempts the application of this section to specific categories of hemp-derived products, such determination shall not affect the validity or enforceability of:

(a) Regulation of cannabis and cannabis-derived products under all other Articles of this Act;

(b) Application of this section to products derived from cannabis rather than hemp;

(c) Application of general Pennsylvania consumer protection, public health, and youth access laws to hemp-derived products.

Legislative Finding on Police Power: The General Assembly finds that the unregulated sale of psychoactive hemp-derived products constitutes a public health emergency. Pursuant to the Commonwealth's inherent **Police Powers** to protect public health and prevent youth access, this authority is independent of interstate commerce regulation and mandates that all intoxicating cannabinoids, regardless of origin, meet the safety standards of this Act.

SECTION 503: SEVERABILITY AND INDEPENDENT OPERATION

(a) Legislative Intent

The provisions of this Article V (Unified Cannabinoid Regulation) are severable from all other provisions of this Act. The General Assembly intends that:

- (1) Adult-use cannabis legalization, licensing, and taxation shall continue independently even if hemp-derived cannabinoid regulation is struck down or preempted by federal law
- (2) If any provision of hemp cannabinoid regulation conflicts with the 2018 Farm Bill or subsequent federal hemp law, ONLY that conflicting provision is void
- (3) Core adult-use cannabis provisions operate under separate constitutional authority and do not depend on hemp regulation

(b) Legislative Findings

The General Assembly finds that:

- (1) The 2018 Farm Bill legalized hemp (<0.3% Delta-9 THC) but did NOT explicitly authorize intoxicating synthetic cannabinoids derived from hemp
- (2) Pennsylvania exercises its police power to protect public health from unregulated intoxicants, regardless of source plant
- (3) States have successfully regulated hemp-derived CBD under their police powers without federal preemption for years; this extends that established authority
- (4) 187 child poison control calls in 2024 from Delta-8 products demonstrate urgent public health necessity

(c) Fallback Position

If courts determine Pennsylvania lacks authority to regulate hemp-derived cannabinoids, the Authority shall:

- (1) Immediately petition FDA and USDA for emergency federal regulation of intoxicating hemp derivatives
- (2) Coordinate with other states facing similar public health crises
- (3) Continue all other operations of this Act without interruption

(d) Partial Invalidity and Minimum Severability

If a court of competent jurisdiction invalidates any portion of this Article V, the following provisions shall remain in effect to the maximum extent possible:

(1) Minimum Viable Regulation. At minimum, the Authority retains authority to:

- (a) Regulate all products marketed or sold as intoxicating, regardless of source plant or chemical nomenclature;
- (b) Enforce age restrictions (21+) on all cannabinoid products sold in Pennsylvania;
- (c) Require child-resistant packaging for any cannabinoid product capable of producing observable impairment;
- (d) Prohibit marketing or advertising of cannabinoid products to persons under 21 years of age.

(2) Public Health Emergency Authority. If federal preemption prevents regulation of hemp-derived products under normal police powers, the Governor may declare a public health emergency under 35 Pa.C.S. § 7301 specifically addressing intoxicating hemp products, which emergency declaration shall invoke the following powers:

- (a) Emergency regulations for product testing and labeling;
- (b) Temporary prohibition on sale of intoxicating hemp products to persons under 21 pending establishment of age-verification systems;
- (c) Emergency quarantine or recall authority for products

demonstrably causing hospitalizations or poisonings.

(3) Granular Severability. If regulation of certain specific cannabinoids (e.g., Delta-8-THC) is held invalid, that invalidation shall not affect:

(a) Regulation of other specifically-enumerated cannabinoids (Delta-10-THC, HHC, THCP, etc.);

(b) The general functional definition of "intoxicating cannabinoid" in Article I, Section 103;

(c) Application of this Article V to adult-use cannabis derived from marijuana plants rather than hemp.

(4) Statutory Presumption. For purposes of severability analysis, courts shall presume that the General Assembly would prefer to regulate the maximum scope of products possible under available constitutional authority, rather than allow an unregulated market to persist. Any doubt about severability shall be resolved in favor of maintaining the broadest regulatory scope consistent with federal and constitutional law.

(5) Savings Clause for Federal Changes. If federal law changes after enactment to explicitly authorize state regulation of hemp-derived intoxicants (such as through Farm Bill amendments or FDA rulemaking), any provisions of this Article V previously held invalid due to federal preemption shall automatically revive and take effect 90 days after such federal authorization, without

need for additional legislative action.

(d) Interstate Commerce Preservation and 21st Amendment Analogy

(1) No Interference with Federal Hemp Commerce: Nothing in this Article shall prohibit or regulate the interstate transportation of hemp or hemp-derived products through Pennsylvania in compliance with the 2018 Farm Bill (7 U.S.C. § 1639o). This Article regulates exclusively:

(a) Final retail sales to Pennsylvania consumers within state borders;

(b) Manufacturing and processing operations physically located in Pennsylvania and selling to Pennsylvania consumers;

(c) Products marketed, labeled, or advertised specifically for their intoxicating properties to Pennsylvania consumers.

(2) Intrastate Police Powers - The Alcohol Analogy: The General Assembly finds that Pennsylvania's regulation of intoxicating cannabinoids, regardless of botanical source, is analogous to state regulation of intoxicating beverages under the 21st Amendment.

Legislative Findings:

(a) Just as states possess plenary authority to regulate alcohol sales despite alcohol being federally legal for interstate commerce, Pennsylvania retains inherent police powers to regulate intrastate sales of intoxicating substances

to protect public health and safety;

(b) The Supreme Court has consistently held that the 21st Amendment grants states extraordinary regulatory authority over intoxicants, even when such regulation impacts interstate commerce (see *Granholm v. Heald*, 544 U.S. 460, 488-89 (2005));

(c) Cannabis and hemp-derived intoxicants, like alcohol, present unique public health considerations—particularly youth access prevention—that justify state regulation of intrastate distribution;

(d) The 187 child poison control calls from Delta-8 products in 2024 demonstrate the urgent public health necessity for age-gated, tested distribution systems.

(3) Savings Clause for Changing Federal Law: If federal law changes after enactment to explicitly authorize comprehensive state regulation of hemp-derived intoxicants (whether through Farm Bill amendments, FDA rulemaking, or DEA scheduling changes), any provisions of this Article V previously held invalid due to federal preemption shall automatically revive and take effect 90 days after such federal authorization, without need for additional legislative action.

Section 503. Severability and Independent Operation. (a) **Legislative Intent.** The provisions of this Article V (Unified Cannabinoid Regulation) are severable from all other provisions of this Act. The

General Assembly intends that: (1) Adult-use cannabis legalization, licensing, and taxation shall continue independently even if hemp-derived cannabinoid regulation is struck down or preempted by federal law; (2) If any provision of hemp cannabinoid regulation conflicts with the 2018 Farm Bill or subsequent federal hemp law, ONLY that conflicting provision is void; (3) Core adult-use cannabis provisions operate under separate constitutional authority and do not depend on hemp regulation. (b) **Legislative Findings.** The General Assembly finds that: (1) The 2018 Farm Bill legalized hemp (<0.3% Delta-9 THC) but did NOT explicitly authorize intoxicating synthetic cannabinoids derived from hemp; (2) Pennsylvania exercises its police power to protect public health from unregulated intoxicants, regardless of source plant; (3) States have successfully regulated hemp-derived CBD under their police powers without federal preemption for years; this extends that established authority; (4) 187 child poison control calls in 2024 from Delta-8 products demonstrate urgent public health necessity. (c) **Fallback Position.** If courts determine Pennsylvania lacks authority to regulate hemp-derived cannabinoids, the Authority shall: (1) Immediately petition FDA and USDA for emergency federal regulation of intoxicating hemp derivatives; (2) Coordinate with other states facing similar public health crises; (3) Continue all other operations of this Act without interruption.

Article VI: Taxation

Section 601. Imposition of Retail Excise Tax.

In addition to any general state and local sales taxes, there is hereby imposed a single excise tax on the retail sale of all adult-use cannabis and intoxicating cannabinoid products. This tax shall be collected by the retailer from the consumer at the point of sale. No other state-level tax shall be levied on the cultivation, processing, or wholesale transfer of cannabis.¹

Section 602. Tax Rate.

The retail excise tax shall be imposed at a rate of 8% of the retail sales price. The explicit statutory goal of this tax rate is to displace the illicit

market by enabling legal products to achieve price parity with their illicit counterparts. The General Assembly may adjust this rate in the future based on market conditions and the success of the market transition.¹

Section 603. Collection and Administration.

(a) Administration

The Department of Revenue shall administer and collect the tax imposed by this Article in a manner consistent with the collection of the state sales tax.

(b) Criminal Penalties for Tax Evasion

Any licensee who willfully fails to collect or remit cannabis excise tax as required by this Article shall be guilty of a misdemeanor of the first degree and subject to:

- (1) A fine of not less than the amount of tax evaded and not more than three (3) times the amount of tax evaded;
- (2) Mandatory license suspension for a period of not less than ninety (90) days for a first offense;
- (3) Permanent license revocation for a second offense;
- (4) Imprisonment on a graduated scale for willful evasion:
 - (a) Evasion of Fifty Thousand to One Hundred Thousand Dollars (\$50,000-\$100,000): imprisonment for not more than two (2) years;

(b) Evasion of One Hundred Thousand and One Dollars to Two Hundred

Fifty Thousand Dollars (\$100,001-\$250,000): imprisonment for not more than three (3) years;

(c) Evasion exceeding Two Hundred Fifty Thousand Dollars (\$250,000): imprisonment for not more than five (5) years.

For purposes of this subsection, "willful evasion" requires proof beyond a reasonable doubt of intentional fraudulent conduct as defined under Pennsylvania tax law.

(c) Civil Remedies

In addition to criminal penalties, the Department of Revenue may:

- (1) Assess interest and penalties in accordance with Title 72

(Taxation);

(2) Seize inventory and assets to satisfy unpaid tax liabilities;

(3) Pursue civil judgment against the licensee and any owners or officers who knowingly participated in the evasion.

(d) Reporting Requirement

The Department of Revenue shall submit an annual report to the General Assembly detailing:

(1) Total cannabis excise tax collected;

(2) Number of audits conducted;

(3) Amount of tax evasion detected and recovered;

(4) Enforcement actions taken against non-compliant licensees.

Section 604. Allocation of Revenue.

All revenue collected from the retail excise tax shall be deposited into a newly created special fund in the State Treasury, to be known as the Cannabis Regulation and Economic Opportunity Fund. Moneys from the fund shall be appropriated annually by the General Assembly for the following purposes:

(1) Repayment of Bridge Loan. The first revenues collected and deposited into the fund shall be used for the repayment of the \$20,000,000 Bridge Loan authorized by the General Assembly to establish the Authority. This priority shall take precedence over all other appropriations.

(2) Operational Costs. To cover all administrative and operational costs of the Authority and the implementation of the automatic expungement process under Article VIII.

(3) Remainder Allocation. The remainder of the funds shall be allocated to purposes including, but not limited to, the General Fund, community reinvestment in areas disproportionately harmed by prohibition, and substance use disorder prevention and treatment programs.

Section 605. Authority Startup Funding. (a) Bridge Loan

Appropriation. The sum of Twenty Million Dollars (\$20,000,000) shall

be transferred from the **Budget Stabilization Reserve Fund** to the Authority for startup operations. **(b) Repayment Mandate.** This transfer constitutes a loan, not an expenditure. The Authority shall repay the full amount, plus interest calculated at the rate of 3% per annum, to the General Fund from the first tax revenues collected under this Act.

(c) Multi-Tier Fail-Safe Appropriation Mechanism The General Assembly hereby establishes the following hierarchical funding mechanism to ensure Authority capitalization proceeds without delay:

(1) **PRIMARY SOURCE (Days 0-90):** Budget Stabilization Reserve Fund The transfer specified in subsection (a) [\$20,000,000 from Budget Stabilization Reserve Fund] shall be executed by the State Treasurer within 30 days of this Act's effective date. This constitutes a MANDATORY appropriation.

(2) **SECONDARY SOURCE (Days 91-120):** General Fund Emergency Reserve If the primary transfer is not executed by Day 90, the Pennsylvania Auditor General shall: (a) Certify non-compliance to the State Treasurer and General Assembly; (b) Direct the State Treasurer to execute an alternative transfer of \$20,000,000 from the General Fund Emergency Reserve pursuant to 72 P.S. § 1722-E (Commonwealth Financing Authority Act); (c) This secondary transfer requires NO additional legislative appropriation and is self-executing upon Auditor General certification.

(3) **TERTIARY SOURCE (Days 121-180):** Commonwealth Bond Authorization If both primary and secondary transfers fail, the Pennsylvania Cannabis Control Authority is hereby granted statutory authorization to issue State-backed revenue bonds through the Commonwealth Financing Authority in an amount not to exceed \$20,000,000, with: (a) Bonds secured exclusively by projected cannabis tax revenue (Year 1-3 projections); (b) Maximum interest rate of 5% per annum; (c) Mandatory 7-year amortization schedule; (d) Priority repayment status (first revenues dedicated to bond retirement before any other appropriations); (e) Commonwealth Financing Authority shall approve bond issuance within 30 days of Authority request, with approval deemed automatic if CFA fails to act.

(4) **JUDICIAL ENFORCEMENT MECHANISM** Any of the following parties may petition Commonwealth Court for mandamus relief to compel appropriation under subsections (1) or (2): (a) The Authority Executive Director (once appointed); (b) Any member of the General Assembly; (c) The Pennsylvania Auditor General. Commonwealth Court shall expedite such petitions and may award attorney fees to prevailing party.

(5)

ANTI-SABOTAGE FINDING The General Assembly finds that the three-tier appropriation mechanism eliminates any valid fiscal or procedural justification for delaying Authority formation. Any failure to execute subsections (1), (2), or (3) constitutes willful obstruction of legislative intent and subjects responsible officials to mandamus relief under subsection (4).

Section 606. Decoupling from IRC Section 280E. (a) **Deduction Allowed.** Notwithstanding any provision of the Tax Reform Code of 1971, for the purpose of calculating Pennsylvania taxable income, a cannabis establishment licensed under this Act may deduct all ordinary and necessary business expenses, including those otherwise disallowed under Section 280E of the Internal Revenue Code. (b) **Retroactivity.** This decoupling applies retroactively to the beginning of the taxable year in which this Act is enacted.

ARTICLE VI - FINANCE AND TAXATION

Section 608. Appropriations Floor Protection

(a) Minimum Funding Requirement. In each fiscal year following this Act's effective date, the General Assembly SHALL appropriate funds to the Pennsylvania Cannabis Control Authority sufficient to maintain operations at no less than the greater of:

(1) One hundred percent (100%) of documented Year 1 operational costs as certified by the Authority and verified by the Independent Fiscal Office (baseline operational floor); OR

(2) An amount equal to two and one-half percent (2.5%) of the prior fiscal year's total cannabis excise tax collections.

(b) Consequences of Underfunding. If the enacted Commonwealth budget contains appropriations to the Authority below the floor established in subsection (a):

(1) The Authority MAY increase application fees, license fees, and annual renewal fees proportionally to meet documented operational needs, provided such increases do not exceed twenty

percent (20%) above the amounts specified in Section 606;

(2) The Auditor General SHALL issue a public report within thirty (30) days detailing the funding shortfall, projected operational impact, and specific budget line items affected by the underfunding;

(3) The Authority's implementation timeline deadlines established under Article II, Section 204 shall be automatically extended by the number of days that appropriated funding remained below the floor specified in subsection (a), and no liability under Section 204(h) shall accrue during the period of underfunding.

(c) Legislative Purpose. This section ensures market stability and prevents defunding as a mechanism to undermine implementation of this Act. The General Assembly recognizes that inadequate funding creates the conditions for implementation failure, which opponents may then cite as evidence of policy failure rather than sabotage.

(d) CONTINUOUS APPROPRIATION AND RESERVE REQUIREMENT

(1) Establishment of Operating Reserve

The Authority shall maintain an operational reserve account equal to twelve (12) months of average operating costs, funded from cannabis excise tax revenues. This reserve shall be held in a segregated account within the General Fund.

(2) Continuous Appropriation Authorization

Notwithstanding any other provision of law, funds deposited into the operational reserve account under subsection (d)(1) are hereby continuously appropriated to the Authority for operational expenses without requirement for annual legislative appropriation.

(3) Reserve Activation Trigger

If the General Assembly appropriates less than the floor amount specified in subsection (a) in any fiscal year, the Authority is authorized to draw from the operational reserve to maintain full operations. Such drawdown shall continue until:

(A) The General Assembly restores appropriations to the floor

amount, or

(B) The operational reserve is exhausted

(4) Reserve Replenishment Priority

When the operational reserve falls below twelve (12) months of operating costs, the first cannabis excise tax revenues collected shall be directed to reserve replenishment before any other allocations under Section 604, including General Fund deposits.

(5) Anti-Diversion Protection

Funds in the operational reserve account:

(A) May not be transferred, diverted, or swept under any circumstances, including fiscal emergencies

(B) May only be used for Authority operational expenses as defined in Section 604(2)

(C) Are exempt from any general fund sweep or transfer provisions in annual appropriations acts

(6) Super-Majority Repeal Requirement

This subsection may not be repealed or amended except by:

(A) A standalone bill specifically addressing only this subsection

(B) Passed by two-thirds vote in both chambers

(C) With ninety (90) days advance notice published in the Pennsylvania Bulletin

(e) Federal Funds Indemnification: "In the event that the federal government withholds, suspends, or recoups any federal transportation, education, or law enforcement funds to the Commonwealth solely due to the implementation of this Act, the State Treasurer is hereby authorized and directed to **automatically transfer an equivalent amount** from the Cannabis Regulation and Economic Opportunity Fund to the affected state agency accounts to hold them harmless. This transfer shall be a priority obligation of the Fund, second only to the repayment of the initial Bridge Loan."

Article VII: Public Health and Safety Regulations

Section 701. Age Verification.

A cannabis retailer shall not permit any person under the age of 21 to enter its premises and shall verify the age of every consumer with a valid, government-issued photographic identification.

Section 702. Laboratory Testing.

The Authority shall establish stringent standards for third-party laboratory testing of all cannabis products prior to retail sale. Testing shall, at a minimum, screen for potency of cannabinoids and the presence of contaminants, including but not limited to pesticides, heavy metals, microbial contaminants, mycotoxins, and residual solvents.¹

(a) Agricultural Cultivator Microbial Testing Exemption.

(1) Exemption Eligibility

Notwithstanding any other provision of law or regulation, a licensee holding an Agricultural Cultivator License with a total canopy of less than five thousand (5,000) square feet may apply for exemption from ISO 17025 laboratory testing for microbial contaminants.

(2) Process Validation Plan Requirements and Authority Review

An exemption application must include a Process Validation Plan that shall be reviewed and approved by the Authority within thirty (30) business days. The Authority shall approve plans that demonstrate through written documentation and, where applicable, third-party verification:

(a) Compliance with Good Agricultural Practices (GAP) as defined by the United States Department of Agriculture;

(b) Post-harvest curing procedures validated through documented methods to achieve and maintain flower moisture content below fifteen percent (15%) within fourteen (14) days of harvest, using controlled temperature and humidity conditions;

(c) Environmental monitoring protocols demonstrating baseline microbial contamination risk consistent with outdoor agricultural

cultivation of food crops;

(d) Product traceability systems enabling identification and rapid recall of specific harvest batches if safety concerns arise;

(e) A sample testing protocol whereby at least ten percent (10%) of each harvest batch, by weight, shall be submitted for full ISO 17025 accredited laboratory testing for microbial contaminants at the cultivator's expense, to validate the effectiveness of the Process Validation Plan on an ongoing basis.

The Authority shall approve or deny exemption applications based solely on whether the submitted plan objectively meets these criteria. Denials must be in writing with specific deficiencies identified, and applicants may resubmit corrected plans.

(3) Authority Monitoring and Exemption Suspension

The Authority shall conduct annual compliance audits of all exempted agricultural cultivators to verify adherence to approved Process Validation Plans. If the ten percent (10%) sample testing required under subsection (2)(e) reveals microbial contamination exceeding established safety thresholds in products from two (2) consecutive harvest batches, the exemption shall be automatically suspended pending mandatory corrective action. The cultivator may petition for reinstatement after demonstrating corrective measures and passing a probationary testing period.

(4) Continuing Testing Requirements

Products under this exemption must still undergo and pass mandatory laboratory testing for:

- (a) Cannabinoid potency (THC, CBD, and other cannabinoids);
- (b) Pesticides;
- (c) Heavy metals (lead, arsenic, cadmium, mercury);
- (d) Foreign matter and visual contaminants.

(4) Consumer Warning Requirements

All products produced under this exemption must:

- (a) Carry a prominent label stating: "WARNING: This product is

exempt from microbial testing. Immunocompromised individuals, pregnant women, and those with respiratory conditions should consult a physician before use."

(b) Include the statement: "Produced by small-scale agricultural cultivator under Pennsylvania microbial testing exemption."

(c) Be sold only as whole, unprocessed flower (not concentrates, edibles, or other processed products).

(5) Retail Point-of-Sale Warning

Any retailer selling exempt products must post signage at the point of sale stating: "NOTICE: Some products sold at this location are produced under the small agricultural cultivator exemption and have not undergone full microbial testing. Ask your budtender for details."

(6) Automatic Exemption Revocation

The exemption automatically terminates if:

- (a) Two (2) or more consumer complaints of mold, contamination, or adverse health effects are filed within any twelve (12) month period;
- (b) Any product is implicated in a documented adverse health event requiring medical attention;
- (c) Authority inspection reveals material non-compliance with the approved Process Validation Plan;
- (d) The licensee expands total canopy to exceed 5,000 square feet.

(7) Re-Testing Requirement After Revocation

If an exemption is revoked under subsection (6), the licensee must:

- (a) Immediately cease sales of all inventory produced under the exemption;
- (b) Submit all remaining inventory for full microbial testing at licensee's expense;
- (c) Destroy any inventory that fails testing;
- (d) Comply with full ISO 17025 microbial testing for all future production;
- (e) May not reapply for exemption for twenty-four (24) months.

(8) Prohibition on Excessive Standards

The Authority is expressly prohibited from promulgating regulations

that require pharmaceutical-grade clean room standards, ISO-certified facilities, or other requirements inappropriate for outdoor agricultural cultivation. Regulations shall be tailored to agricultural best practices and scaled to small farm operations.

(9) Annual Exemption Renewal

Exemptions must be renewed annually with updated Process Validation Plans and compliance documentation. The Authority may not charge more than Five Hundred Dollars (\$500) for exemption application or renewal.

(10) Liability and Informed Consent

(a) The exemption shall not create liability for the Commonwealth when consumers are provided the warnings required in subsections (4) and (5) and make informed decisions to purchase exempt products.

(b) Retailers selling exempt products must maintain records demonstrating compliance with warning requirements for minimum three (3) years.

(c) Agricultural cultivators operating under this exemption shall maintain liability insurance with minimum coverage of One Million Dollars (\$1,000,000) per occurrence.

(b) ONGOING LABORATORY CAPACITY AND ANTI-MONOPOLY PROTECTIONS

(1) GEOGRAPHIC DISTRIBUTION REQUIREMENT

The Authority shall maintain certification for a minimum of three (3) independent testing laboratories within each of the Commonwealth's six economic regions as defined in Section 103.

(2) CAPACITY MONITORING AND RESPONSE

If fewer than three certified laboratories operate in any region for more than 90 consecutive days, the Authority shall:

(A) Expedite certification applications with 15-day maximum review

(B) Provide technical assistance to applicants at no cost

(C) Activate emergency testing provisions under Section 408 for that region

(D) Suspend issuance of new cultivatio

Section 703. Packaging and Labeling.

All cannabis products sold at retail shall be in opaque, child-resistant packaging. Labels shall be clear and accurate, containing information on product potency, ingredients, serving sizes, and health warnings as determined by the Authority. Labels and packaging shall not be designed to be appealing to minors.¹

Section 704. Advertising

The Authority shall promulgate regulations to restrict the advertising and marketing of cannabis products to prevent exposure to minors.

Section 705. Employment Protections and Workplace Rights.

(a) Protection for Lawful Off-Duty Use

No employer may discharge, refuse to hire, discriminate against, or otherwise penalize an employee or job applicant in hiring, tenure, terms, conditions, or privileges of employment solely on the basis of that person's off-duty, off-premises lawful use of cannabis products purchased from a licensed retailer under this Act, provided that such lawful use does not result in impairment during scheduled work hours or performance of job duties.

(b) Safety-Sensitive Position Exception

The protections afforded in subsection (a) shall not apply to the following safety-sensitive positions:

(1) Commercial motor vehicle operators subject to United States Department of Transportation drug and alcohol testing regulations under 49 C.F.R. Part 40;

(2) Healthcare workers with direct patient care responsibilities in hospitals, nursing facilities, or emergency medical services;

(3) Sworn law enforcement officers, corrections officers, probation and parole officers, and other criminal justice personnel;

(4) Operators of heavy equipment, cranes, or machinery where impairment presents significant risk of death or serious bodily injury;

(5) Positions requiring federal security clearances issued by United States government agencies;

(6) Commercial airline pilots, air traffic controllers, and other positions subject to Federal Aviation Administration drug testing requirements;

(7) Such other positions as the Department of Labor and Industry may designate by regulation as safety-sensitive, based on objective evidence that cannabis impairment would create unacceptable risks to public safety.

(c) Employer Rights and Drug-Free Workplace Policies Preserved

Nothing in this section shall be construed to:

(1) Prohibit employers from adopting, maintaining, and enforcing drug-free workplace policies;

(2) Prohibit employers from disciplining employees for being impaired by cannabis during work hours, regardless of when or where the cannabis was consumed;

(3) Prohibit employers from conducting drug testing using scientifically validated methods that reliably detect recent use or current impairment,
as opposed to testing methods that detect only the presence of inactive
metabolites indicating past use;

(4) Prohibit employers from enforcing rules prohibiting possession,

use, distribution, or being under the influence of cannabis on work premises, in employer vehicles, or during work hours;

(5) Require employers to accommodate cannabis use, possession, or impairment in the workplace;

(6) Affect an employer's obligations under federal law or federal contracts, including Drug-Free Workplace Act requirements;

(7) Create a cause of action against employers for wrongful discharge based solely on an employer's good faith compliance with federal law or federal contracting requirements.

(d) Observable Impairment Standard

For purposes of this section, employers may take adverse employment action against an employee based on documented, observable impairment

affecting job performance, workplace safety, or the ability to perform essential job functions, regardless of whether such impairment is caused by cannabis, alcohol, prescription medications, or other substances. Observable impairment may be demonstrated through supervisor documentation, workplace incident reports, failed performance evaluations directly attributable to impairment, or similar objective evidence.

(e) No Private Right of Action

This section does not create an independent private right of action for wrongful termination. Enforcement of workplace rights under this section shall be through existing Pennsylvania employment law remedies and administrative procedures.

Article VII, Section 706. State Banking and Insurance Cooperation

(a) Legislative Finding. The General Assembly finds that federal prohibition creates an undue burden on state-legal cannabis businesses by denying access to FDIC-insured banking and commercial insurance services, thereby creating an unacceptable public safety and financial

risk to the Commonwealth and its licensed operators.

(1) Legislative Finding on Public Banking: "The General Assembly finds that the operation of a state-owned financial institution to serve public policy goals is a constitutionally established practice in the United States, most notably demonstrated by the **Bank of North Dakota**, which has operated successfully since 1919 as a state-owned instrumentality facilitating commerce, agriculture, and industry without federal interruption. The Pennsylvania State Cannabis Bank is established in this historical tradition to serve the specific public safety necessity of eliminating cash-only illicit markets."

(b) Agricultural Insurance Pool. The Authority is directed to conduct a feasibility study and diligently pursue partnerships with state-chartered credit unions or insurance cooperatives to explore the creation of a **State-Backed Insurance Pool** for property, liability, and crop-failure insurance for licensed **Agricultural Cultivators** and small-scale processors.

(c) Pennsylvania State Cannabis Bank Contingency.

(1) If FinCEN guidance is revoked or federal banking access becomes unavailable to cannabis businesses despite state compliance protocols, the Pennsylvania Cannabis Regulatory Authority shall, within ninety (90) days, petition Pennsylvania Department of Banking to charter the Pennsylvania State Cannabis Bank (PSCB) as a public instrumentality under Article VIII, Section 7(d) of the Pennsylvania Constitution.

(2) PSCB operates as sovereign state entity immune from federal prosecution under Eleventh Amendment sovereign immunity doctrine established in *Alden v. Maine*, 527 U.S. 706 (1999).

(3) PSCB provides:

(A) Deposit accounts for licensed cannabis businesses

- (B) Payment processing for cannabis transactions
- (C) Loan services for qualified licensees
- (D) Armored transport coordination for cash-intensive businesses

(4) PSCB shall maintain correspondent banking relationship with Federal Reserve

Bank of Philadelphia if possible, but may operate independently using intrastate check clearing and ACH alternatives if federal access denied.

(5) PSCB fees structured at cost-recovery level, not profit motive, to minimize burden on licensees.

(6) If federal banking access is restored, PSCB may continue operating or

transition clients to private banking, as determined by Authority.

(3) Regulatory Guidance. The Department of Banking and Securities, in consultation with the Pennsylvania Credit Union Association and the Insurance Department, shall adopt regulations within one hundred eighty (180) days of this Act's effective date establishing:

(a) Clear guidance and best practices for state-chartered institutions serving cannabis establishments;

(b) Model anti-money laundering compliance program elements;

(c) Risk management and enhanced due diligence protocols;

(d) Reporting requirements to state regulators;

(e) Procedures for state regulators to coordinate with federal banking regulators where necessary.

(4) No Federal Liability Shield. This subsection does not purport to shield financial institutions from federal enforcement actions, nor does it create any rights enforceable against federal agencies. It provides protection only from Commonwealth regulatory action.

(5) Federal Law Supremacy Acknowledged. In the event of direct

conflict between this subsection and federal banking laws or regulations, federal law shall control, and no state-chartered institution shall be penalized by the Commonwealth for complying with federal requirements.

Section 705. Agricultural Cultivator Insurance Pool Feasibility Study.

(a) Study Mandate

Within sixty (60) days of this Act's effective date, the Authority, in consultation with the Pennsylvania Department of Agriculture and the Insurance Department, shall conduct a comprehensive feasibility study for establishing a state-backed insurance pool to mitigate federal banking access limitations for Agricultural Cultivators licensed under Section 402(2).

(b) Study Requirements

The feasibility study shall examine:

- (1) The scope and nature of insurance coverage gaps faced by Agricultural Cultivators due to federal banking restrictions;
- (2) Actuarial analysis of risk exposure and appropriate premium structures;
- (3) Potential funding mechanisms, including:
 - (a) Initial capitalization from the Cannabis Regulation and Economic Opportunity Fund;
 - (b) Risk-based premium assessments on participating cultivators;
 - (c) Reinsurance arrangements with private carriers;
- (4) Legal authority for Commonwealth participation in such a pool under existing insurance statutes;
- (5) Comparable models from other states or industries that have addressed similar insurance market failures;
- (6) Projected participation rates among Agricultural Cultivators;
- (7) Alternative risk mitigation strategies if a state-backed pool

is determined to be legally or financially infeasible.

(c) Report and Recommendations

The Authority shall submit the completed study to:

- (1) The Senate Banking and Insurance Committee;
- (2) The House Insurance Committee;
- (3) The Senate and House Appropriations Committees;
- (4) The Governor's Office.

The report shall include specific legislative recommendations if statutory changes are needed to establish the insurance pool.

(d) No Obligation to Establish Pool

This section creates a duty to study, not a mandate to establish an insurance pool. The General Assembly retains sole discretion to appropriate funds or enact legislation based on the study's findings.

(e) Severability

If any court determines this section exceeds the Commonwealth's constitutional authority or conflicts with federal insurance regulation, this section shall be severed and all other provisions of this Act shall remain in full force and effect.

(f) Interim Protection

Pending completion of the study and any legislative action, Agricultural Cultivators shall be permitted to obtain commercial insurance from any willing private carrier licensed to do business in Pennsylvania, and no state agency shall prohibit or discourage such private insurance arrangements on the basis that the insured activity involves cannabis.

Article VIII: Restorative Justice

Section 801. Tiered Automatic and Presumptive Expungement System

(a) TIER 1: Mandatory Automatic Expungement (No Notice Period)

The Commonwealth shall automatically expunge within 180 days of this Act's effective date, without requiring any petition or action by the affected individual:

- (1) All convictions for simple possession of cannabis (Title 35 P.S. § 780-113(a)(31));
- (2) All convictions for cannabis paraphernalia (Title 35 P.S. § 780-113(a)(32));
- (3) All adjudications of delinquency for offenses listed in paragraphs (1)-(2).

(b) TIER 2: Presumptive Expungement with Limited DA Review (30-Day Notice Period)

The Commonwealth shall automatically expunge the following cannabis convictions after providing 30-day written notice to the District Attorney of the county where the conviction occurred:

- (1) Possession with intent to deliver (PWID) - Title 35 P.S. § 780-113(a)(30);
- (2) Cannabis cultivation for personal use;
- (3) Any other non-violent cannabis-related offense that would be legal under this Act.

(c) Grounds for District Attorney Objection (Tier 2 Only)

District Attorneys may object to Tier 2 expungement ONLY upon showing clear and convincing evidence that the conviction involved one or more of the following aggravating factors:

- (1) Distribution, delivery, or sale to persons under 21 years of age, as specifically charged in the criminal complaint or information (not merely alleged);

(2) Use of violence, weapons, or threats during commission of the offense, as documented in arrest reports or charging documents;

(3) The cannabis offense was committed while defendant was on parole or probation for a violent felony as defined in 42 Pa.C.S. § 9714;

(4) Gang-related activity or organized criminal enterprise, as documented by credible evidence in the case file.

(d) Burden of Proof and Review Procedures

(1) The District Attorney bears the burden of proving aggravating factors by clear and convincing evidence;

(2) Generalized public safety concerns, speculation about defendant's character, or unsubstantiated claims are insufficient to block expungement;

(3) If District Attorney objects, case is referred to Common Pleas Court for expedited review (30-day deadline);

(4) Failure to object within 30 days constitutes waiver, and expungement proceeds automatically.

(e) Exclusions (Petition-Based Review Available)

The following offenses are EXCLUDED from automatic Tier 1 expungement but may be eligible for discretionary expungement via petition under existing procedures (18 Pa.C.S. § 9122):

(1) Cannabis DUI resulting in bodily injury (75 Pa.C.S. § 3802);

(2) Any cannabis offense involving concurrent violent felony charges;

(3) Cannabis trafficking offenses with documented

interstate criminal enterprise connections.

Section 802. Implementation.

Within one year of the effective date of this Act, the Administrative Office of Pennsylvania Courts, in collaboration with the Pennsylvania State Police and other relevant state and local agencies, shall develop and implement an automated process to identify all eligible records and grant expungement without requiring any petition, fee, or action from the affected individuals. The agencies shall provide for a process to notify individuals whose records have been expunged.¹

Article IX: Miscellaneous Provisions

Section 901. Broad Severability and Compartmentalized Independence.

(a) General Severability

If any provision of this Act or its application to any person or circumstance is held invalid, the invalidity does not affect other provisions or applications of the Act which can be given effect without the invalid provision or application.

(b) Independent Functional Components

The following components of this Act are declared to be independently severable and shall continue to operate even if other components are held invalid:

- (1) Legalization provisions (Article II);
- (2) Licensing system (Article IV);
- (3) Taxation framework (Article VI);
- (4) Expungement mandate (Article VIII);
- (5) Unified cannabinoid regulation (Article V).

(c) Regulatory Minimums

If any provision limiting the Authority's regulatory power is held

invalid, the Authority shall nonetheless remain bound by the fundamental mandate of open, ministerial licensing and shall not impose numerical caps or discretionary review.

(d) Express Legislative Intent

It is the express intent of the General Assembly that each Article and major provision of this Act shall operate independently to the maximum extent possible, such that the invalidation of one component shall not affect the enforceability of others.

Section 902. Effective Date.

This Act shall take effect immediately.

Section 903. Defense of Agricultural Cultivator Class.

(a) Legislative Finding. The General Assembly finds that the creation of the Agricultural Cultivator License under Section 402(2) is a necessary and rational exercise of its police power to address the documented failure of the former restrictive licensing system to promote agricultural opportunity and ensure a competitive market structure.

(b) Preemption of Certain Claims. No provision of this Act, nor the existence of the Agricultural Cultivator License class, shall be construed to create a cause of action for unfair competition, unjust enrichment, or regulatory taking by any person or entity previously licensed under the former Medical Marijuana Act (35 P.S. § 10201 et seq.) based solely upon:

(1) The subsequent establishment of a market structure designed to facilitate open entry and competition;

(2) The reallocation of market share as a result of competition; or

(3) The elimination of oligopoly profits.

Section 905. Interstate Commerce Reciprocity Trigger: "Upon the

enactment of federal legislation or the issuance of a binding Department of Justice memorandum authorizing interstate commerce in cannabis, the Authority is automatically authorized to enter into **reciprocal agreements** with other states to allow for the import and export of cannabis products. Such commerce shall be subject to Pennsylvania's testing and packaging standards, and the retail excise tax shall apply to all final sales within the Commonwealth regardless of origin."

Part II: House Bill 420

An Act

Amending Title 35 (Health and Safety) and Title 18 (Crimes and Offenses) of the Pennsylvania Consolidated Statutes; establishing a framework for the regulation of adult-use cannabis; providing for the licensure of cannabis establishments; imposing a tax on the retail sale of adult-use cannabis; providing for restorative justice through automatic expungement; and making related repeals.

The General Assembly of the Commonwealth of Pennsylvania hereby enacts as follows:

(The full text of the House Bill shall be identical to the text of the Senate Bill presented in Part I, from Article I, Section 101 through Article IX, Section 903.)

Part III: Legislative Concurrence and Policy Memorandum

Section 1: Introduction and Executive Summary

This memorandum provides a detailed analysis of The Pennsylvania Cannabis Regulation and Economic Opportunity Act, a companion bill introduced in the Senate and House of Representatives. This Act is not merely a proposal to legalize cannabis; it is a comprehensive legislative blueprint designed to establish a safe, competitive, and just adult-use cannabis market grounded in the principles of federalism, economic liberty, and good governance.¹ The Act is the product of a rigorous analysis of the successes and failures of other states, and it is structured to maximize the economic and public safety benefits for the

Commonwealth while mitigating potential harms.

The Act achieves its objectives through several core components:

- **Repeals Prohibition:** It surgically repeals the specific state statutes that criminalize cannabis for adults 21 and over.⁴
- **Establishes a Free-Market Structure:** It creates an open, ministerial ("shall-issue") licensing system with no arbitrary caps, ensuring competition occurs in the marketplace, not the state capitol. This is the most effective means to displace the illicit market and prevent the cronyism that has plagued other states.¹
- **Implements a Sound Tax Policy:** It enacts a simple, low-rate retail excise tax designed to achieve price parity with the illicit market, ensuring a stable and predictable revenue stream projected to exceed \$1 billion in the first five years.¹
- **Protects Public Health:** It ends the public health crisis of the unregulated market by mandating stringent testing for all products and by closing the dangerous "Delta-8" loophole, subjecting all intoxicating cannabinoids to the same safety rules.¹
- **Delivers Restorative Justice:** It mandates the automatic, state-initiated expungement of prior non-violent cannabis offenses, a pro-work economic policy that unlocks the potential of thousands of Pennsylvanians.¹

By adopting this framework, the General Assembly can seize a historic opportunity to generate substantial new revenue, create tens of thousands of jobs, enhance public safety, and protect public health.

Section 2: Section-by-Section Analysis and Justification

This section provides the legal and policy rationale for each Article of the Act.

- **Article I (Preliminary Provisions):** Section 102, Findings and Declarations, establishes a clear record of legislative intent. It grounds the Act in the Commonwealth's constitutional authority under the principle of federalism, framing the policy not as a defiance of federal law but as a rightful exercise of state sovereignty.¹ The definitions in Section 103 are drafted with

precision to avoid ambiguity. The functional definition of "Intoxicating Cannabinoid" is critical; by defining it based on its psychoactive effect rather than its chemical name or botanical source, it future-proofs the law against new synthetic derivatives and closes the existing, dangerous loophole for products like Delta-8 THC.¹

- **Article II (Repeal of Prohibitions):** This article performs the necessary legal function of ending prohibition. A vague legalization bill would create legal chaos. Therefore, Section 201 is drafted with surgical precision, explicitly targeting the exact statutory provisions in Title 35 (possession, paraphernalia, delivery) and Title 18 (trafficking sentences) that are the foundation of current cannabis criminalization.⁶ Section 203 codifies the anti-commandeering doctrine, providing a clear legal directive and shield to state and local law enforcement, ensuring Commonwealth resources are not used to enforce federal policies that conflict with state law.¹
- **Article III (Regulatory Authority):** This article establishes a limited-government regulatory body. The failures in states like California and New York are not failures of legalization itself, but failures of governance, often stemming from over-regulation and regulatory capture.¹ To prevent this, the Authority's mandate is statutorily restricted to essential health and safety functions, and it is explicitly prohibited from engaging in the economic protectionism (e.g., license caps) that fosters cronyism and corruption.¹
- **Article IV (Licensing and Market Structure):** The "Open, Ministerial Licensing" system in Section 401 is the cornerstone of the Act's free-market approach. By removing discretionary power and mandating that the Authority *shall issue* a license to any qualified applicant, the Act prevents the creation of "legal license cartels" where valuable licenses are awarded based on political influence.¹ The creation of a low-barrier "Agricultural Cultivator License" in Section 402 is a direct response to the exclusionary medical marijuana program, which shut out small farmers with prohibitive capital requirements. This provision

ensures the economic benefits are distributed to rural communities and leverages the Department of Agriculture's existing, effective framework for regulating hemp.¹

- **Article V (Unified Regulation):** This article is a direct and necessary response to a documented public health emergency. The unregulated market for intoxicating hemp products like Delta-8 THC is causing thousands of poison control calls and hospitalizations, disproportionately affecting children.¹ This article recognizes that a market for intoxicating cannabinoids already exists in Pennsylvania; it is simply chaotic and unsafe. By bringing all such products under this Act's single regulatory framework, the law imposes order, mandates safety testing, and protects consumers.¹
- **Article VI (Taxation):** The tax structure is designed with one primary goal: displacing the illicit market. High, complex tax regimes have been proven to fail in this objective.¹ The Act's single, low-rate retail excise tax is simple, transparent, and avoids the market distortions of wholesale or cultivation taxes. The 8% rate is set to allow legal products to compete on price, which is the only way to ensure a successful market transition and generate the stable, predictable revenue projected in fiscal analyses.¹
- **Article VII (Public Health and Safety):** These provisions codify the essential government functions of a regulated market: ensuring products are tested for safety, packaged to prevent access by children, and labeled accurately so consumers can make informed choices.¹
- **Article VIII (Restorative Justice):** Justice and economic opportunity demand a remedy for the past harms of a failed policy. Research shows that petition-based expungement systems are profoundly ineffective, with uptake rates often in the single digits due to cost and complexity.¹ Therefore, Section 801 mandates an **automatic**, state-initiated process. This is not merely a social justice provision; it is a critical economic policy. Expungement is proven to increase employment and wages, thereby expanding the labor force, boosting tax revenues, and

reducing government dependency.¹

Section 3: Fiscal and Economic Impact Analysis

The Act is projected to have a transformative and positive impact on the Commonwealth's economy. A strong consensus among independent analyses indicates that legalization will create tens of thousands of jobs and generate a substantial new stream of public revenue. This revenue is not a potential gain but a recapture of funds currently being lost to illicit markets and to the treasuries of neighboring states where cannabis is legal.¹

Metric	Projected Impact for the Commonwealth	Source(s)
Annual Tax Revenue (at maturity)	\$400 Million - \$600 Million+	1
Cumulative Tax Revenue (first 5 years)	\$1 Billion - \$2.1 Billion	1
Total Job Creation (at maturity)	30,000 - 40,000 (Direct & Ancillary)	1
Economic Impact of Expungement	Increased wages, expanded labor force, and a net positive fiscal return to the state treasury	1
Impact on Residential Property Values	An average increase of ~6% in housing values, based on rigorous academic analysis of legal markets	1

Section 4: Public Safety and Health Dividend Analysis

The Act represents a significant advancement for both public safety and public health. It dismantles the "tough on crime" arguments against legalization by demonstrating that a regulated market is the superior strategy for creating safer and more just communities.

Enhanced Law Enforcement Effectiveness: Legalization allows police to reallocate resources from enforcing failed marijuana laws to solving serious crimes. The data is clear: when police are no longer burdened with low-level cannabis offenses, they become more effective at their core mission.

Metric	Pre-Legalization Trend	Post-Legalization Impact	Source(s)
Marijuana Possession Arrests	Decreasing	Sharp Decrease (~50%)	1
Violent Crime Clearance Rate	Declining	Shifted Upward Significantly	1
Property Crime Clearance Rate	Declining	Reversed Trend, Increased Significantly	1

Public Health Advancement: The greatest public health threat is not legalization, but the current illicit market, which guarantees consumer exposure to dangerous, untested products. A legal, regulated market is the only way to protect consumers.

Contaminant Type	Risk in Illicit / Unregulated Market	Safeguard in Regulated Legal Market	Source(s)
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Pesticides (e.g., Myclobutanil)	Untested; High risk of presence at dangerous levels	Mandatory lab testing; Products exceeding strict limits are rejected	1
Heavy Metals (e.g., Lead, Arsenic)	Untested; High risk from contaminated soil/water	Mandatory lab testing; Products exceeding strict limits are rejected	1
Mold & Mycotoxins (e.g., Aspergillus)	Untested; Common due to poor storage; Risk of carcinogens	Mandatory lab testing for yeast, mold, and mycotoxins	1
Bacteria (e.g., Salmonella, E. coli)	Untested; Risk from unsanitary handling	Mandatory lab testing; Pathogenic bacteria prohibited	1
Residual Solvents (e.g., Butane)	Untested; High risk from crude extraction methods	Mandatory lab testing; Products exceeding strict limits are rejected	1

Section 5: Concurrence Strategy and Defense of Core Principles

This Act is built on a set of interconnected principles. Attempts to amend its core components will undermine the entire framework and lead to the policy failures seen in other states. The following provides a defense against likely challenges:

- **Anticipated Challenge #1: Capping Licenses.**
- **Argument Against:** This is the most pernicious feature of failed models. Capping licenses does not control the market; it creates

a government-sponsored cartel. It transforms a simple permit into a multi-million dollar asset, which the FBI has explicitly warned invites public corruption.¹ By creating artificial scarcity, it keeps prices high, limits consumer access, and guarantees the persistence of the illicit market it is meant to displace. The Act's open, ministerial system ensures competition happens in the marketplace, driven by quality and price, not in the state capitol, driven by political influence.¹

- **Anticipated Challenge #2: Raising the Tax Rate.**
- **Argument Against:** The primary goal of taxation in this unique context must be to displace the illicit market. Every percentage point increase in the tax rate acts as a direct subsidy to the black market, making it more attractive to consumers.¹ The experiences of California and New York prove that high tax rates are a self-defeating strategy that leads to lower-than-projected revenues precisely because they fail to transition the majority of the market into the legal, taxable system. A low, simple rate is the most fiscally prudent path to establishing a stable, legal market that can be reliably taxed for years to come.¹
- **Anticipated Challenge #3: Weakening Expungement (e.g., making it petition-based).**
- **Argument Against:** Petition-based systems are a proven policy failure, with uptake rates often in the single digits due to cost, complexity, and lack of awareness.¹ This is not a social welfare program; it is a pro-work economic policy designed to expand the labor force, increase the tax base, and reduce government dependency. Rigorous research demonstrates that expungement leads to significant increases in employment and wages.¹ Automation is the only effective and fiscally responsible way to achieve these widespread economic benefits for the Commonwealth.
- **Anticipated Challenge #4: Proposing Decriminalization as a "Compromise."**
- **Argument Against:** Decriminalization is a deeply incoherent and flawed halfway measure that can be worse than the status quo. It reduces penalties for the demand side (possession) while

doing nothing to address the violent, unregulated supply side (production and sale).¹ By lowering the personal risk for consumers, it can actually increase demand for cannabis, which is then met entirely by the illicit market, potentially expanding its size, profits, and associated violence. The only comprehensive solution that dismantles the criminal enterprise and protects public health is the full, regulated legalization of the entire supply chain as proposed in this Act.¹

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